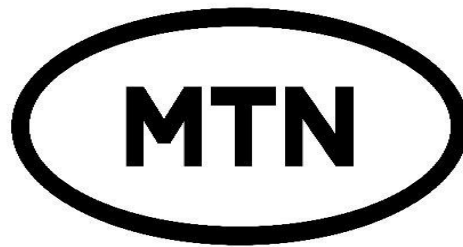


MTN Rwandacell Plc
Annual Consolidated Financial Statements
For the year ended 31 December 2025



MTN Rwandacell Plc
Annual Report and Consolidated Financial Statements
For the year ended 31 December 2025

TABLE OF CONTENTS	Page
Annual Report	
Directors' Report	1
Statement of Directors' Responsibilities	2
Report of the Independent Auditors	3 - 8
Financial Statements	
Consolidated Statement of Comprehensive Income	9
Consolidated Statement of Financial Position	10-11
Consolidated Statement of Changes in Equity	12
Consolidated Statement of Cash Flows	13
Notes to the Consolidated Financial Statements	14 - 75

MTN Rwandacell Plc
Directors' Report
For the year ended 31 December 2025

The directors submit their report together with the audited consolidated financial statements for the year ended 31 December 2025, which disclose the state of affairs of MTN Rwandacell Plc and its subsidiary, Mobile Money Rwanda Limited (together, "the Group"). The Company was listed on the Rwanda Stock Exchange on 4 May 2021.

Principal activity

The principal activity of the Group is to provide mobile telecommunications, fintech and ICT services.

Staffing

The number of persons employed by the Group as of 31 December 2025 was 365 employees (2024: 369 employees).

Results and dividends

The Group's profit for the year ended on 31 December 2025 was Rwf 10.777 billion (2024 (restated): Loss of Rwf 5.372 billion). In view of the recovery from the prior year loss and the need to strengthen the Group's financial position, the Board did not declare a dividend for 2025 (2024: Rwf 5.725 billion from 2023 profit).

Shareholding

As of 31 December 2025, MTN Rwandacell Plc's shareholders were MTN International (Mauritius) Limited (55%), MTN REL (Mauritius) Limited (25%), and the Public (20%), whose shares are listed on the Rwanda Stock Exchange.

Directors

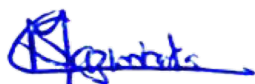
The directors who held office during the year and to the date of this report were:

In office at the date of report	Executive/ executive	non- Resignation date	Appointment date
Mr. Faustin Mbundu (Chairperson)	Non-Executive		19 August 2021
Michael Fleischer	Non-Executive	30 June 2025	
Wanda Matandela	Non-Executive		1 January 2024
Julien Kavaruganda	Non-Executive		1 July 2021
Yolanda Cuba	Non-Executive		1 March 2020
Karabo Nondumo	Non-Executive		1 July 2021
Peace M Uwase	Non-Executive		1 January 2024
Mapula Bodibe	Executive	22 April 2025	
Monzer Ali	Executive		22 April 2025

Auditors

Ernst & Young Rwanda Limited served as the Group's auditors during the year and has expressed their willingness to continue in office in accordance with Law No. 007/2021 of 5/02/2021 Governing Companies as amended by Law No. 019/2023 of 30 March 2023.

By order of the Board



Sharon Mazimhaka
Company Secretary

11 March 2026

MTN Rwandacell Plc
Statement of Directors' Responsibilities
For the year ended 31 December 2025

Law No. 007/2021 of 5/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023 requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group as at the end of the financial year and of its profit or loss for the financial year. It also requires the directors to ensure that the Group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Group. The directors are also responsible for safeguarding the assets of the Group.

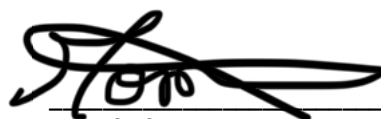
The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of Law No. 007/2021 of 5/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023. The directors are of the opinion that the financial statements, which have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of Law No. 007/2021 of 5/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023, give a true and fair view of the state of the financial affairs of the Group and its profit or loss. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error. Notwithstanding the matters noted, nothing further has come to the directors' attention to indicate that there has been any material breakdown in the functioning of the internal controls, procedures and systems during the year under review.

The directors adopted the going concern basis when preparing the financial statements. Nothing has come to their attention to indicate that the Group will not remain a going concern for at least twelve months from the date of this statement.

Ernst & Young Rwanda Limited have audited the Group's financial statements, and their report is presented on pages 3 to 8. The accompanying financial statements on pages 9 to 75 were authorised for issue by the board of directors on 11 March 2026 and were signed on its behalf by:



DIRECTOR
Mr Faustin Mbundu



DIRECTOR
Monzer Ali

**Independent Auditor's Report
To the shareholders of MTN Rwandacell Plc**

Report on the audit of the financial statements

Opinion

We have audited the consolidated financial statements of MTN Rwandacell Plc (the "Company") and its subsidiary (together, the "Group"), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of Law No. 007/2021 of 05/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in *the Auditor's responsibilities for the audit of the consolidated financial statements* section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in Rwanda, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period. These matters were addressed in the context of the audit of the consolidated financial statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Independent Auditor's Report (Continued)
To the shareholders of MTN Rwandacell Plc

Report on the audit of the consolidated financial statements (Continued)

Key audit matters (Continued)

Key audit matter	How our audit addressed the key audit matter
<i>Revenue recognition - complexity of products and systems</i>	
The occurrence and accuracy of amounts recorded as revenue is an inherent industry risk due to the complexity of the billing systems arising from changes in products and plans - including multiple element arrangements, the number of products sold, and the tariff structure changes during the year. The application of the revenue recognition accounting standard IFRS 15: <i>Revenue from contracts with customers</i> requires the use of complex rating, billing, and accounting systems. The complexity is compounded by the significant number of revenue transactions that are accounted for on a monthly basis. We, therefore, considered revenue recognition to be a matter of most significance to our current year audit. The significant accounting policies and detailed disclosures on revenue recognition are included in Note 2b - Revenue recognition, Note 5a and 5b - Revenue from contracts with customers and Note 5c - Liabilities related to contracts with customers.	Our audit procedures included, but were not limited to: • Understanding and testing the design and operating effectiveness of controls over the transfer of revenue information between the multiple systems involved in recording revenue. • Tested controls in place over the authorisation of rate changes and a review of the new products recorded in the billing systems. • Involved our internal IT audit specialists to test the IT general controls of the rating and billing environments, as well as assessed the completeness of the relevant revenue reports utilised for audit purposes. • Tested the end-to-end reconciliation from rating and billing systems to the journals processed in the general ledger. • Reviewed the reconciliation of the aggregate of the prepaid customers per the charging system to the deferred revenue balance. • Selected and tested a sample of revenue contracts and assessed, in line with the requirements of IFRS 15 Revenue from • Tested reconciliations for interconnect ad roaming revenue and agreed the balances to supporting documents such as confirmations. • Examined and assessed the accounting policies applied and disclosures in terms of the recognition of revenue for compliance with IFRS 15 <i>Revenue from contracts with customers</i>.

Independent Auditor's Report (Continued)
To the shareholders of MTN Rwandacell Plc

Report on the audit of the consolidated financial statements (Continued)

Key audit matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Recognition of lease liabilities in accordance with IFRS 16 Leases	
As disclosed in Note 25 of the financial statements, the Group's lease liabilities at 31 December 2025 amounted to Rwf 152 billion (2024: Rwf 150 billion). This liability is recognized in line with the Group's accounting policy described in Note 2H. The lease liability is recognised at the present value of the future minimum lease payments under the contract. The significant judgements applied in the recognition of the lease liabilities include: - Identifying and applying escalation clauses that could impact payments under the contract in future periods. The escalation clauses are based on external factors for which information may not be available currently, such as inflation rates in future periods. - identifying and excluding cash flows for non-lease components in the derivation of the lease liability determining the applicable lease terms for each lease including estimating the lease term implied in the renewal clauses in the lease contracts, and the application of extension clauses in the contract. - determining the appropriate incremental borrowing rate for discounting lease liability cash flows. - identifying and recognising lease liabilities for lease modifications. We considered the recognition of lease liabilities as a key audit matter on account of the significant judgements involved and because lease liabilities are a material item representing 23% of total liabilities.	Our audit procedures included, but were not limited to: - Evaluating management's processes and controls for identifying and accounting for leases. - Checking management's basis for determining and excluding non-lease components in the computation of lease liabilities and obtained supporting documentation for the non-lease components. - Tracing a sample of lease additions, disposals, and repayments, and lease cash flows to the lease model and to the supporting documents. - Checking the reasonableness of the incremental borrowing rate applied in discounting lease cash flows. - Evaluating the basis for application of extension clauses and assessed the reasonableness of these assumptions based on decisions taken previously and management's long-term strategy. - Recomputing the lease amortisation expense and the depreciation charge for a sample of the leases. - Assessing the adequacy of the lease liability disclosures in the Group's consolidated financial statements for alignment with IFRS 16 Leases.

Independent Auditor's Report (Continued)
To the shareholders of MTN Rwandacell Plc

Report on the audit of the consolidated financial statements (Continued)

Other information

The other information consists of the information included on pages 1 to 2, which includes the Directors' Report and the Statement of Directors' Responsibilities as required by Law No 007/2021 of 05/02/2021 governing companies in Rwanda as amended by Law No 019/2023 of 30 March 2023. The other information does not include the financial statements and our auditor's report thereon. The Directors are responsible for other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of directors for the consolidated financial statements

The directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, and in the manner required by the Law No. 007/2021 of 05/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

Independent Auditor's Report (Continued)
To the shareholders of MTN Rwandacell Plc

Auditor's responsibilities for the audit of the consolidated financial statements (Continued)

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide directors with a statement that we have complied with relevant ethical requirements regarding independence and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and, where applicable, actions taken to eliminate threats or safeguards applied.

Independent Auditor's Report (Continued)
To the shareholders of MTN Rwandacell Plc

Report on the audit of the consolidated financial statements (Continued)

Auditor's responsibilities for the audit of the consolidated financial statements (Continued)

From the matters communicated with directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Law N° 007/2021 of 05/02/2021 governing companies as amended by Law No. 019/2023 of 30 March 2023, we report to you, based on our audit, that:

- i) We have no relationship, interests and debts in the group;
- ii) We have obtained all the information and explanations which to the best of our knowledge and belief, were necessary for the purpose of our audit;
- iii) In our opinion, proper books of account have been kept by the group, so far as appears from our examination of those books;
- iv) We have communicated to you through the management letter the internal control weaknesses identified in the course of our audit, including our recommendations with regard to those matters.

The partner in charge of the audit resulting in this independent auditor's report is Stephen Sang.



Stephen K Sang
For and on behalf of Ernst & Young Rwanda Limited

Date: 11 MARCH March 2026

MTN Rwandacell Plc
Consolidated Statement of Comprehensive Income
For the year ended 31 December 2025

	Notes	31 December 2025 Rwf'000	31 December 2024 Rwf'000 Restated ¹
Revenue	5(a)	296,621,727	259,564,827
Other income	5(b)	1,609,039	2,062,840
Total income		298,230,766	261,627,667
Direct network operating costs		(48,645,982)	(40,905,965)
Government and regulatory costs		(13,977,647)	(16,122,868)
Cost of handsets and other accessories		(5,804,937)	(8,746,344)
Interconnection and roaming fees		(6,642,811)	(11,051,887)
Employee benefits expense	6	(26,214,639)	(23,582,210)
Sales, distribution and marketing costs		(43,472,795)	(38,721,931)
Other operating expenses	7	(43,434,254)	(30,860,386)
Credit Loss expense	22(a)	(3,222,394)	(570,541)
Depreciation on items of property, plant and equipment	19	(20,560,215)	(23,855,592)
Depreciation - right of use asset	25	(15,183,388)	(16,504,072)
Amortisation of intangible assets	18	(15,104,578)	(13,114,484)
Operating profit		55,967,126	37,591,387
Finance income	8	947,334	1,475,095
Finance costs	8	(38,614,661)	(38,780,715)
Profit before income tax		18,299,799	285,767
Income tax expense	9	(7,522,444)	(5,657,609)
Profit/(loss) for the year		10,777,355	(5,371,842)
Other comprehensive income, net of tax			
Total comprehensive income for the year		10,777,355	(5,371,842)
Attributable to:			
Equity holders of the Company		10,777,355	(5,371,842)
Basic earnings per share - Rwf	33	8.0	(4.0)
Diluted earnings per share - Rwf	33	8.0	(4.0)

The notes on pages 14 to 75 are an integral part of these financial statements.

¹ The effects of the restatement are disclosed on Note 36 of these financial statements.

MTN RWANDACELL Plc
Consolidated Statement of Financial Position
as at 31 December 2025

	Notes	31 December 2025 Rwf'000	31 December 2024 Rwf'000 Restated ¹	1 January 2024 Rwf'000 Restated ¹
ASSETS				
Non-current assets				
Indefeasible rights of use assets (IRUs)	16(a)	6,902,353	8,295,835	10,018,843
Intangible assets	18	69,137,902	81,016,479	82,494,205
Property, plant and equipment	19	131,133,340	120,961,726	119,969,099
Capitalised contract costs ²	20(a)	1,109,723	1,611,397	-
Contract assets ⁴	20(b)	1,480,184	1,498,577	1,509,507
Non-current prepayments ²		252,798	430,688	615,842
Right of use assets	25	114,719,190	116,579,055	117,257,973
Deferred tax assets	14	15,936,152	6,272,524	-
Total non-current assets		340,671,642	336,666,281	331,865,469
Current assets				
Current income tax asset	9	449,430	390,239	3,621,809
Indefeasible rights of use assets (IRUs)**	16(a)	1,393,482	1,543,848	1,136,300
Contract assets ⁴	20(b)	656,763	595,473	811,616
Cash and cash equivalents	17(a)	58,832,086	14,514,695	20,297,068
Mobile money deposits**	17(b)	286,621,094	201,517,642	153,004,467
Collective savings scheme deposits ³	17(c)	7,307,871	6,319,489	5,713,097
Restricted cash ³	17(d)	879,315	55,148	55,148
Capitalised contract costs**	20(a)	554,862	612,479	-
Mobile money receivables		-	-	9,178,976
Deposits with financial institutions		-	-	1,977,505
Inventories	21	320,438	2,065,585	231,080
Trade and other receivables ^{4**}	22	25,276,610	49,729,222	36,408,276
Total current assets		382,291,951	277,343,820	232,435,342
Total assets		722,963,593	614,010,101	564,300,811

** - The effects of the reclassification are disclosed in note 37 of these financial statements

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

² Capitalised contract costs were previously included in non-current prepayments and have been disaggregated in the current year, and the comparative numbers have been re-presented accordingly.

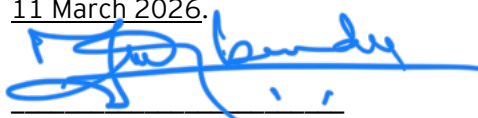
³ Collective savings scheme deposits were previously included in restricted cash and have been disaggregated in the current year, and comparative numbers have been re-presented accordingly.

⁴ Current and non-current contracts assets were previously included in trade and other receivables and have been disaggregated in the current year, and comparative numbers have been re-presented accordingly.

MTN RWANDACELL Plc
Consolidated Statement of Financial Position
as at 31 December 2025

	Notes	31 December 2025 Rwf'000	31 December 2024 Rwf'000 Restated ¹	1 January 2024 Rwf'000 Restated ¹
EQUITY AND LIABILITIES				
Equity				
Ordinary share capital	11	1,350,887	1,350,887	1,350,887
Retained earnings		41,278,054	36,618,319	53,731,391
Other reserves	13	15,333,606	9,215,986	3,199,614
Total equity		57,962,547	47,185,192	58,281,892
Liabilities				
Non-current liabilities				
Deferred income tax	14	-	-	7,088,241
Borrowings	15	37,134,545	55,393,665	50,980,806
Non-current financial liability**	32	7,544,097	9,636,433	10,528,683
Lease liabilities	25	141,454,542	140,995,036	124,426,895
Non-current IRU Liability	16(b)	338,870	374,856	410,842
Total non-current liabilities		186,472,054	206,399,990	193,435,467
Current liabilities				
Contract liabilities	5(c)	2,135,294	3,874,725	2,974,509
Deferred income	5(c)	1,419,604	123,275	115,860
IRU liability**	16(b)	35,986	35,986	35,986
Borrowings	15	16,249,760	15,430,274	25,708,541
Trade and other payables**	23(a)	142,198,241	109,733,895	82,737,016
Financial liability	32	3,636,491	3,122,723	5,040,712
Mobile money customer deposits	23(b)	286,143,324	202,142,123	167,007,910
Provisions	24	2,838,690	1,544,894	639,441
Lease liabilities**	25	18,773,062	12,536,657	27,408,477
Current income tax liability	9	4,183,540	5,102,313	-
Bank Overdraft	17(a)	-	5,863,054	-
Shareholder loan	12	915,000	915,000	915,000
Total current liabilities		478,528,992	360,424,919	312,583,452
Total liabilities		665,001,046	566,824,909	506,018,919
Total equity and liabilities		722,963,593	614,010,101	564,300,811

The Financial statements were approved and authorized for issue by the Board of Directors on 11 March 2026.



DIRECTOR
Mr Faustin Mbundu



DIRECTOR
Monzer Ali

The notes on pages 14 to 75 are an integral part of these financial statements

** - The effects of the reclassification are disclosed in note 37 of these financial statements

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

MTN Rwandacell Plc
Consolidated Statement of Changes in Equity
For the year ended 31 December 2025

	Notes	Ordinary Rwf'000	Retained earnings Rwf'000	Other reserves Rwf'000	Total Rwf'000
At 1 January 2024		1,350,887	53,546,054	3,199,614	58,096,555
Prior year adjustments	36	-	185,337	-	185,337
At 1 January 2024 (Restated¹)		1,350,887	53,731,391	3,199,614	58,281,892
Transfer to reserve		-	(6,016,372)	6,016,372	-
Total comprehensive income for the year, net of tax		-	(5,371,842)	-	(5,371,842)
Dividends declared	10	-	(5,724,858)	-	(5,724,858)
At 31 December 2024 (Restated¹)		1,350,887	36,618,319	9,215,986	47,185,192
At 1 January 2025		1,350,887	36,618,319	9,215,986	47,185,192
Transfer to reserve		-	(6,117,620)	6,117,620	-
Total comprehensive income for the year, net of tax		-	10,777,355	-	10,777,355
At 31 December 2025		1,350,887	41,278,054	15,333,606	57,962,547

The notes on pages 14 to 75 are an integral part of these financial statements

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

MTN Rwandacell Plc
Consolidated statement of cash flows
For the year ended 31 December 2025

	Notes	2025 December Rwf'000	2024 December Restated ¹ Rwf'000
Cash flows from operating activities			
Cash generated from operations	29	161,986,229	92,168,846
Interest paid on borrowings	15	(10,544,255)	(10,428,763)
Interest paid on leases	25	(14,536,269)	(10,852,284)
Interest received		947,334	1,475,095
Tax paid	9	(18,104,845)	(15,166,886)
Net cash generated from operating activities		119,748,194	57,196,008
Cashflows flow from investing activities			
Acquisition of property, plant and equipment and intangible assets	18 & 19	(33,957,830)	(36,930,082)
Increase in capitalised contract costs		(1,484,574)	(980,130)
Deposit placements with financial institutions		-	1,977,505
Net cash used in investing activities		(35,442,404)	(35,932,707)
Cashflows flow from financing activities			
Payment of principal portion of lease liabilities	25	(13,587,359)	(21,648,846)
Dividends paid	10	-	(1,144,970)
Increase in borrowings	15	62,793,855	18,000,000
Principal repayments of borrowings	15	(79,256,875)	(23,469,697)
Financial liability repayments	32	(4,087,993)	(4,788,150)
Net cash used in financing activities		(34,138,372)	(33,051,663)
Net increase/(decrease) in cash and cash equivalen		50,167,418	(11,788,362)
Cash and cash equivalents at beginning of the year		8,651,641	20,297,068
Exchange gains on cash and cash equivalents		13,027	142,935
Cash and cash equivalents at end of the year	17(a)	58,832,086	8,651,641

The notes on pages 14 to 75 are an integral part of these financial statements

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

MTN Rwandacell Plc
Notes to the Consolidated financial statements
For the year ended 31 December 2025

1 General information

The Company is incorporated in Rwanda as a public liability company and listed on the Rwanda Stock Exchange. The address of its registered office is:

MTN Centre
Nyarutarama
P.O Box 264, Kigali
Rwanda

The Company is controlled by MTN International (Mauritius) Limited. Its parent and ultimate holding company is MTN Group Limited, a company incorporated in the Republic of South Africa and listed on the Johannesburg Stock Exchange. The principal activity of the Group is providing mobile telecommunication services, fintech services and ICT.

2 Summary of material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below and in the related notes to the Group's consolidated financial statements. Unless otherwise stated, these policies have been consistently applied to all the years presented.

A Basis of preparation

The financial statements have been prepared in accordance with IFRS accounting standards as issued by the International Accounting Standards Board (IASB) and comply with the requirements of Law No.007/2021 of 5/02/2021 governing companies as amended by Law No.019/2023 of 30th March 2023. The Group has adopted all new accounting pronouncements that became effective in the current reporting period.

The financial statements have been prepared on the historical cost basis except for financial liabilities that have been measured at fair value through profit or loss.

Amounts are rounded to the nearest thousands, except for the number of ordinary share capital (note 11). The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Information about significant areas of estimation uncertainty and significant judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements are included in note 4.

The notes to the financial statement have been presented for the Group and its subsidiary unless specified otherwise.

Changes in accounting policy and disclosures

i) New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing 1 January 2025 but did not have an impact on the Group:

- Lack of exchangeability - Amendments to IAS 21 Effective for annual periods beginning on or after 1 January 2025

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

A Basis of preparation (continued)

ii) Standards issued but not yet effective

The below amendments and standards issued but not yet effective are not expected to have a material impact on the Group:

- Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7 - The amendments will be effective for annual reporting periods beginning on or after 1 January 2026
- Contracts Referencing Nature-dependent Electricity - Amendments to IFRS 9 and IFRS 7 Effective for annual periods beginning on or after 1 January 2026
- IFRS 19 - Subsidiaries without Public Accountability: Disclosures Effective for annual periods beginning on or after 1 January 2027.
- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture - Amendments to IFRS 10 and IAS 28 -effective date postponed indefinitely

The Group is still assessing the impact of the below amendments and standards issued but not yet effective:

- IFRS 18 - Presentation and Disclosure in Financial Statements -Effective for annual periods beginning on or after 1 January 2027
- Annual Improvements to IFRS Accounting Standards–Volume 11 - The amendments will be effective for annual reporting periods beginning on or after 1 January 2026

(iii) Basis of consolidation

Subsidiaries are all entities (including structured entities) over which the Company has control. The Company controls an entity where the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date control is transferred to the Company. They are deconsolidated from the date that control ceases.

Inter-company transactions, balances and unrealised gains on transactions between companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset.

(iv) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM). The board of MTN Rwandacell Plc has appointed the Company Executive Committee which assesses the financial performance and position of the Company and makes strategic decisions. The steering committee, which has been identified as being the chief operating decision maker, consists of the Company's executive committee.

The Group has identified reportable segments that the Group Executive Committee uses to make key operating decisions, allocate resources, and assess performance. The reportable segments are largely grouped according to the operations, primarily Fintech and Telecommunication business segments, which are used to examine the Group's performance.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

A Basis of preparation (continued)

iv Segment reporting (Continued)

The Group's underlying operations and product lines are clustered as follows:

- Telecommunication services. This comprises of data, voice, SMS, value added services, and airtime lending.
- Fintech services. Finance technology (Fintech) relates to mobile money services.
- Information Communication Technology (ICT). This relates to Fixed internet (Fiber to the home, Fiber to the Business, Worldwide Interoperability for Microwave Access (WiMAX) communication).

No operating segments have been aggregated to form the above reportable operating segments.

The Group executive committee primarily uses a measure of earnings before interest, tax, depreciation, and amortisation (EBITDA) to assess the performance of the operating segments. Interest income, finance cost, borrowings, network assets, licences, borrowings, IRUs and right of use assets are not allocated to segments, as this type of activity is driven by the central function, which manages the cash position of the Group.

B Revenue recognition

The Group principally generates revenue from providing mobile telecommunications services, such as network services (comprising of data, voice and SMS), digital services, interconnect and roaming services, ICT, Mobile Money services as well as from sale of mobile devices. Products and services may be sold separately or in bundled packages. The typical length of a contract for a post-paid bundled package is 24 months.

For bundled packages, the Group accounts for individual products and services separately if they are distinct - i.e. if a product or service is separately identifiable from other items in the bundled package and if a customer can benefit from it. The consideration is allocated between separate products and services in a bundle based on their stand-alone selling prices. The stand-alone selling prices are determined based on the list prices at which the Group sells mobile devices and network services separately.

The main categories of revenue and the basis of recognition are as follows:

Network services

Voice, SMS and Mobile services enable both prepaid and postpaid customers to make calls and send text respectively within and outside the network. Prepay customers top up their phones by either buying prepay virtual airtime from dealers, other retail outlets, by using mobile money or borrowing credit through emergency top up service. They can also receive airtime from other subscribers. Postpaid customers subscribe to various tariffs and are billed at the end of the month based on a fixed charge or usage. Revenue from prepay voice customers is recognised on usage.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

A Basis of preparation (continued)

B Revenue recognition (Continued)

Network services (Continued)

Mobile data enables both prepaid and postpaid customers access the internet. Prepaid customers top up their lines by purchasing credit or bundles in advance, whereas postpaid customers are availed credit based on the tariff subscribed. Mobile data has a wide range of propositions available to meet customers' requirements. The data bundles are deferred on purchase and recognised as revenue on usage. The validity of purchased but un-utilised data bundles is extended upon additional purchase of data bundles, and the Group prompts the subscriber in advance before un-utilised bundles expire and are consequently unavailable for use. The Group has in place a Data Manager tool that gives subscribers the power to control data bundle usage and allows them to restrict browsing out of bundle, which avoids instances of higher pricing when browsing the internet.

A contract liability is recognised for amounts received in advance, until the services are provided, or when the usage of services becomes remote.

Network services (comprising voice, data and SMS) represent a single performance obligation as all are provided over the MTN network and transmitted as data representing a digital signal on the network. The transmission of voice, data and SMS consume network bandwidth; therefore, irrespective of the nature of the communication, the subscriber ultimately receives access to the network and the right to consume network bandwidth. Network services are, therefore, viewed as a single performance obligation represented by capacity on the MTN network.

The Group recognises revenue from these services as they are provided. Revenue is recognised based on actual units of network services provided during the reporting period as a proportion of the total units of network services expected to be provided. The customer receives and uses the benefits of these services simultaneously.

Mobile money revenue

Mobile money is a mobile money transaction service allowing customers to deposit, transfer and withdraw e-money or pay for goods and services using a mobile phone. Mobile money is available to all MTN subscribers (Prepaid and Postpaid). Registration is free and available at any mobile money agent countrywide. Revenue from this service is earned largely from transfer and withdrawal transactions performed by customers. A graduated tariff depending on the funds being transacted is applied on all transactions which are cumulatively reported as mobile money transaction commission revenue.

Digital services

Digital services include value-added services, rich media services and airtime lending. Customers either pay these services in advance or monthly in equal instalments over the contractual period. A contract liability is recognised for amounts received in advance until the services are provided or when the usage of services becomes remote.

The Group recognises revenue from these services as they are provided. Revenue is based on the actual units of digital services provided during the reporting period as a proportion of the total units of digital services to be provided. The customer receives and uses the benefits of these services simultaneously. Units of digital services outside of postpaid contracts are recognised as the service is provided.

2 Summary of material accounting policies (continued)

B Revenue recognition (continued)

ICT

The Group has in place its Home Fibre, i.e. Fibre To The Home (FTTH) and Fibre to the Building (FTTB) services that enable fast, reliable and unlimited internet access from the comfort of a customer's home/premises. This service is open and available to all customers residing within areas that have the Group's fibre infrastructure ready and have applied to have their homes /premises connected to the Group's fibre grid. The price charged is based on the bandwidth and speed contracted by the customer. The price is charged upfront for a standard period of 30 days, and the customer can renew the subscription by making a payment. The amount charged is deferred and recognised as revenue proportionately over the subscription period.

Interconnect and roaming

The Group has signed interconnect agreements with both local and foreign partners. This allows customers from either network to originate or terminate calls to each other's network. Revenue is earned and recognised when partners' calls are terminated to the Group's network, i.e. the service is rendered.

The Group has roaming agreements with roaming partners that enable customers to make and receive calls when travelling around the world. The agreed charges differ per partner.

When visitors roam on the Group's network, revenue is earned by billing the visiting customers' network, while revenue from the Group's customers is earned from customer billing for voice, SMS, and data usage while roaming on other networks. Revenue is recognised on billing.

Payment for interconnect and roaming is generally received monthly. The Group has considered historical payment patterns (i.e., customary business practice) in assessing whether the contract contains a significant financing component. For contracts containing a significant financing component, the Group reduces interconnect and roaming revenue and recognises interest revenue over the period between satisfying the related performance obligation and payment.

Mobile devices

The Group sells a range of mobile devices. It recognises revenue when customers obtain control of mobile devices, which is when they take possession of the devices. Customers pay in full for mobile devices sold separately at the point of sale. For mobile devices sold in bundled packages, customers usually pay monthly in equal instalments over 24 months.

The Group assesses these contracts, including handsets, to determine if they contain a significant financing component. The Group has elected to apply the practical expedient that allows the Group not to adjust the transaction price for the significant financing component for contracts where the time difference between customer payment and transfer of goods or services is expected to be one year or less. Consequently, the Group does not adjust any of the transaction prices for the time value of money.

2 Summary of material accounting policies (continued)

B Revenue recognition (continued)

SIM cards

This represents connection revenue that arises from the first activation of a SIM card bought by a subscriber. It is the amount paid by the subscriber to obtain a SIM card.

Other income

This includes among others and site rentals. Site rental revenue is billed monthly and is based on the number of sites and equipment hosted per site. Revenue is recognised systematically over the lease period.

Capitalisation of contract costs

The Group expects that incremental subscriber acquisition costs for obtaining and renewing contracts are recoverable. These costs include agents' acquisition commissions on post-paid contracts, SIM activation costs on prepaid contracts. The Group has therefore capitalised on these costs as contract costs. Capitalised costs are amortised on a systematic basis of the average customer life and included in sales, distribution and marketing costs.

C Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency that best reflects the primary economic environment in which the Group operates (the functional currency). The Group financial statements are presented in Rwanda francs, which is the functional and presentation currency of the Group.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains or losses resulting from the settlement of such transactions and from the translation at reporting date exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

D Property, plant and equipment

Property, plant, and equipment are measured at historical cost, with less accumulated depreciation and impairment losses. Property, plant and equipment acquired through business combinations are initially shown at fair value and are subsequently carried at the initially determined fair value less accumulated depreciation and impairment losses.

The cost of property, plant, and equipment includes expenditure directly attributable to the acquisition or construction of the assets, any other costs directly attributable to bringing the assets to the location and condition for their intended use, and the present value of estimated decommissioning costs. Purchased software that is integral to the functionality of the related equipment is capitalised as part of the equipment.

Property, plant, and equipment under construction are measured at initial cost and depreciated from the date the assets are available for use in the manner intended by management for their estimated useful lives. Assets are transferred from capital work-in-progress to an appropriate property, plant and equipment category when commissioned and ready for their intended use.

2 Summary of material accounting policies (continued)

D Property, plant and equipment (Continued)

The present value of the expected cost for the decommissioning of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

The Group capitalises general and specific borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. A qualifying asset is deemed to be an asset which takes more than 12 months to acquire, construct or produce. Borrowing costs include general and specific borrowings directly attributable to the acquisition, construction or production of qualifying assets. Other borrowing costs are expensed in profit or loss.

In instances whereby the Group receives assets for no consideration, the Group accounts for these at cost being zero value.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Depreciation is calculated using the straight-line method to write down their cost to their residual values over their estimated useful lives. In determining residual values, the Group uses historical sales and management's best estimate based on market prices of similar items.

Useful lives of property, plant and equipment are based on management estimates and take into account historical experience with similar assets, the expected usage of the asset, physical wear and tear, technical or commercial obsolescence and legal restrictions on the use of the assets.

The estimated useful lives of property, plant and equipment are as follows:

	Useful life
Buildings	15 to 50 Years
Leasehold improvements	3 to 5 years (Over the period of the lease)
Network infrastructure	5 to 15 years
Information systems	5 to 10 years
Furniture and fittings	5 to 8 years
Office equipment	5 to 8 years

The assets' useful lives and residual values are reviewed and adjusted, if appropriate, at each reporting date, and the effects of any changes in estimates are accounted for on a prospective basis.

Assets held under finance leases are depreciated over their expected useful lives on the same basis as owned assets or, were shorter, the expected term of the relevant lease.

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between sales proceeds and the carrying amount of the asset and is included in operating profit.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

E Impairment of non-financial assets

An impairment loss is recognised in profit or loss if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generate cash inflows from continuing use that are largely independent of the cash inflows of other assets or group of assets (the “cash-generating unit”).

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but limited to the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss. An impairment loss in respect of goodwill is not reversed.

F Intangible assets

Intangible assets with finite useful lives

The Group annually reviews the carrying amounts of its intangible assets with finite useful lives to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amounts of the assets are estimated to determine the extent, if any, of the impairment loss. The review includes an assessment of the appropriateness of the amortisation method applied to intangible assets to ensure that it reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

Amortisation is calculated on a straight-line basis to write off the cost of intangible assets over their estimated useful lives. The estimated useful lives are as below:

	2024 useful life	2025 useful life
Network licenses	10 years	10 years
Software	1 to 5 years	1 to 5 years

The gain or loss arising from the disposal or retirement of an intangible asset is determined as the difference between the proceeds from the disposal and the carrying amount of the asset and is included in profit or loss. Costs associated with maintaining intangible assets are recognised as expenses as incurred.

Costs that are directly associated with the production of identifiable intangible assets controlled by the Group and that will probably generate economic benefits, are capitalised when all the criteria of capitalisation are met.

Expenditure that enhances or extends the performance of intangible assets beyond their original specifications is recognised as a capital improvement and added to the original cost of the assets. Expenditure on research activities is recognized as an expense in the period in which it is incurred.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

G Ericsson Converged Wallet ("ECW") software

Ericsson Mobile Financial Services Limited ("Ericsson") and MTN entered into an agreement that defines contractual obligations for the subsidiary, Mobile Money Rwanda Limited, in respect of the software licensing and equipment supply for the Ericsson Converged Wallet ("ECW") platform. The agreement outlines the payment terms, annual minimum commitment, cloud deployment agreements, and on-site maintenance charges by Ericsson and is effective for five years, from 1 January 2023 to 31 December 2027.

In accordance with the contract, Mobile Money Rwanda Limited is required to make an RWF-denominated annual minimum payment.

The Group has assessed that since future economic benefits are expected to flow to the Group and the cost of the asset can be measured reliably, the Group's licensed software for the ECW platform meets the definition and recognition criteria for an intangible asset. Therefore, the present value of the future minimum payments has been capitalised as an intangible asset.

Intangible asset

The intangible asset is included in IT software disclosed under Note 19 to the consolidated financial statements.

The intangible asset is amortised over its useful life of five years beginning on 1 January 2023.

Service charges

Maintenance charges (20% of the 3.6% revenue share charge) are expensed when incurred.

Financial liability

Since the payments for the intangible assets will not be made in advance, the Group has also recognised a financial liability (refer to Note 19 (b)), which represents the contractual obligation to pay Ericsson in cash over five years. The payments under the agreement are discounted to their present value using the Group's incremental borrowing rate.

Subsequently, the Group accounts for the interest expense on the financial liability over the five-year period and for the contractual payments due as and when settlements are made.

Embedded derivative

A portion of the future payments under the contract vary according to changes in the RWF:USD exchange rate. However, the Group has concluded that the embedded derivative arising from modification of cash flows on this basis does not have to be separated from the host contract because the economic characteristics and risks of the cash flows are closely related to the fixed minimum commitments under the contract. The embedded derivative will be assessed at the end of each accounting period. Therefore, the financial liability is measured at fair value through profit or loss (FVPL).

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

H Accounting for leases

The Group's leases include network infrastructure (including tower space and land), retail stores, and vehicles. Rental contracts are typically made for fixed periods ranging between 1 and 10 years but may have renewal periods, as described below.

The Group recognises right-of-use assets and lease liabilities for most leases at the lease commencement date. However, the Group has elected not to recognise right-of-use assets and lease liabilities for some leases of low-value assets (e.g., rentals for executive staff) and short-term leases, i.e., leases that, at the commencement date, have lease terms of 12 months or less.

The Group defines low-value leases as leases of assets for which the value of the underlying asset when new is US\$5000 or less and is not considered fundamental to its network. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

The lease liability is initially measured at the present value of the following lease payments:

- Fixed payments (including in-substance fixed payments), less any incentives receivable.
- Variable lease payments that are based on an index or rate, measured using the index or rate as at the lease commencement date.
- Amounts that are expected to be payable by the lessee under residual value guarantees.
- The exercise price of a purchase option if the lessee is reasonably certain to exercise that option.
- Payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the implicit interest rate in the lease. If that rate cannot be readily determined, the Group's incremental borrowing rate is used. This is the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions. Generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made. Interest costs are charged to the income statement over the lease period to produce a constant periodic interest rate on the remaining balance of the liability for each period. It is remeasured when there is a change in future lease payments arising from a change in index or rate, a change in the estimate of the amount payable under a residual value guarantee, or as appropriate, changes in the assessment of whether a purchase or extension option is reasonably certain to be exercised or a termination option is reasonably certain not to be exercised.

The right-of-use assets are initially measured at cost comprising the following:

- The amount of the initial measurement of the lease liability.
- Any lease payments made at or before the commencement date less any lease incentives received.
- Any initial direct costs.
- Decommissioning costs.

The right-of-use assets are subsequently measured at cost less any accumulated depreciation and impairment losses and adjusted for certain remeasurements of the lease liability. The right-of-use assets are depreciated over the shorter of the assets' useful lives and the lease terms on a straight-line basis.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

H Accounting for leases (Continued)

A number of lease contracts include the option to renew the lease for a further period or terminate the lease earlier. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

Lease and non-lease components

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The Group applies judgment in assessing whether it is reasonably likely that options will be exercised.

Factors considered include how far in the future an option occurs, the Group's business planning cycle of three to five years, and the past history of terminating/not renewing leases. The assessment is reviewed if a significant event or a significant change in circumstances occurs that affects this assessment and is within the control of the lessee.

A number of lease contracts include both lease and non-lease components. The Group allocates the consideration in the contract to each lease and non-lease component based on their relative stand-alone selling prices. The stand-alone selling prices of each component are based on available market prices. The Group has not elected the practical expedient to account for non-lease components as part of its lease liabilities and right-of-use assets. Therefore, non-lease components are accounted for as operating expenses and are recognised in profit or loss as they are incurred.

I Infeasible right of use (IRU) arrangements

The Group enters into long-term service contracts under which it purchases capacity from fibre networks. The purchase involves making prepayments to acquire infeasible right of use (IRU) for a fixed period of time. The prepayment is amortised and recognised in the direct network operating costs on a straight-line basis over the life of the contract.

The Group applies the principles of IFRS16, leases in order to assess whether its IRU arrangements constitute or contain leases. The requirements to be met in order to conclude that an IRU arrangement constitutes or contains a lease are as follows:

- the provision of a service in terms of the IRU arrangement should be dependent on the use of one or more specific assets; and
- the IRU arrangement must convey a right to use these assets.

The Group applies its principal accounting policies for leases to account for IRU arrangements which constitute or contain leases. All other IRU arrangements that do not constitute or contain leases are treated as service level agreements; the costs are expensed as incurred.

J Inventories

Inventory mainly comprises items of handsets, SIM cards and accessories held for sale and consumable items. Inventories are measured at the lower of cost and net realisable value. The cost of inventory is determined using the weighted average method. Cost comprises direct materials and, where applicable, overheads incurred in bringing the inventories to their present location and condition, excluding borrowing costs. Net realisable value represents the estimated selling price in the ordinary course of business, less applicable variable selling expenses. Where appropriate, an impairment provision is raised in respect of obsolete and defective inventories.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

K Trade and Other Receivables

Trade and other receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. They are generally due for settlement within 30 to 270 days and therefore are all classified as current. Trade receivables are recognised initially at the transaction price unless they contain significant financing components, when they are recognised at fair value. The Group holds the trade receivables with the objective to collect the contractual cash flows and, therefore, measures them subsequently at amortised cost using the effective interest method less loss allowance. Details about the Group's impairment policies and the calculation of the loss allowance are provided in note 3.

L Taxes

Income tax expense

The tax expense for the year comprises current income tax and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or items recognised directly in equity. For these items the tax is also recognised in other comprehensive income or directly in equity, respectively.

Current income tax

Current income tax is the expected tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income, and any adjustment to tax payable in respect of previous years. Directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establish provisions where appropriate based on amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognised using the liability method, providing for temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements for financial reporting purposes. Deferred income tax is not recognised if the temporary difference arises from goodwill or from the initial recognition of an asset or liability in a transaction (other than a business combination) that at the time of the transaction, affects neither accounting nor taxable profit nor loss. Deferred income tax is measured at tax rates (and laws) that have been enacted or substantively enacted at the reporting date and are expected to apply to temporary differences when they reverse.

M Borrowings

Borrowings are accounted for as financial liabilities. Fees paid on the establishment of loan facilities are recognised as transaction costs and capitalised to the extent that it is probable that some or all of the facility will be drawn down. When the drawdown is made, the transaction costs are amortised to profit or loss using the effective interest method. To the extent that it is not probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently carried at amortised cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

N Cash and cash equivalents

For the purpose of presentation in the consolidated statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash, and which are subject to an insignificant risk of changes in value net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

Bank overdrafts are shown separately in the statement of financial position.

O Provisions

A provision is recognised when there is a present legal or constructive obligation as a result of a past event for which it is more likely than not that an outflow of resources will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expected outflow of resources required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to the passage of time is recognised as a finance cost.

Bonus provision

The bonus provision consists of a performance-based bonus, which is determined by reference to the overall Group performance regarding a set of predetermined key performance measures. Bonuses are payable annually after the Group's annual results have been approved.

Regulatory and fiscal provisions

The Group is involved in various regulatory and other matters specific to the Group's operations. These matters may not necessarily be resolved in a manner favourable to the Group. The Group has therefore recognised provisions in respect of these matters based on estimates and the probability of whether an outflow of economic benefits will be required.

P Dividends

Dividends declared to the Company's shareholders are recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Company's directors.

Q Share capital

Ordinary shares are classified as equity. Incremental external costs directly attributable to the issue of new ordinary shares or share options are recognised in equity as a deduction net of tax from the proceeds.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

R Finance income and costs

Finance income

Finance income comprises interest income on funds invested for the short term, fair value gains arising from financial instruments measured at fair value through profit or loss and gains on foreign exchange transactions. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

Finance costs

Finance costs comprise interest expense on borrowings, interest in respect of lease liabilities, losses on foreign exchange transactions, fair value losses arising from financial instruments measured at fair value through profit or loss and the unwinding of the discount on provisions. All borrowing costs are recognised in profit or loss using the effective interest method, unless the borrowing costs are directly attributable to the acquisition, construction or production of qualifying assets, in which case the directly attributable borrowing costs are capitalised.

S Contingent liabilities

Contingent liabilities represent possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Group. Contingent liabilities also represent present obligations that arise from past events but are not recognised because an outflow of resources is not probable, or a reliable estimate cannot be made. The Group does not recognise contingent liabilities in the statement of financial position until future events indicate that it is probable that an outflow of resources will take place and a reliable estimate can be made, at which time a provision is raised.

T Related party transactions

Related party transactions constitute the transfer of resources, services or obligations between the Group and a party related to the Group, regardless of whether a price is charged. For the purposes of defining related party transactions with key management, key management has been defined as directors and the Group's executive committee and includes close members of their families and entities controlled or jointly controlled by these individuals.

U Employee benefits

(i) Short-term employee benefits

Remuneration to employees in respect of services rendered during a reporting period is expensed in that reporting period. A liability is recognised for accumulated leave when there is a present legal or constructive obligation as a result of past service rendered by employees.

(ii) Share-based payment transactions

MTN Rwandacell Plc, a subsidiary of MTN Group, participates in the MTN Group Notional Share Option (NSO) incentive scheme, under which eligible employees are granted notional share options which entitle the employees to the growth in the options' value that are settled in cash on vesting/exercise.

The scheme comprises two components:

- Group Aligned Notional Share Options (GAN NSOs): linked to MTN Group Limited's listed share price. The offer price is based on the closing share price on the day before allocation, converted to local currency using the foreign exchange rate on the day prior to allocation.
- Locally Aligned Notional Share Options (LAN NSOs): linked to local operational performance and enterprise value; the LAN NSO price is reviewed annually and determined using an EBITDA multiple valuation approach.

U Employee benefits (Continued)

(ii) Share-based payment transactions (Continued)

These schemes are accounted for as cash-settled share-based payments to employees at subsidiary level. The fair value of the amount payable to employees in respect of cash-settled share-based payments is recognised as an expense with a corresponding increase in liabilities, over the period during which the employees become unconditionally entitled to payment. The liability is remeasured to fair value at each reporting date and at settlement date. Any changes in the liability are recognised in profit or loss.

(iii) Retirement contribution obligations

The Group operates a defined contribution plan. A defined contribution plan is a post-employment benefit plan (such as a pension plan) under which the Group pays a fixed percentage of employees' remuneration as contributions into a separate entity (a fund), and will have no further legal or constructive obligations to pay additional contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods. Contributions to defined contribution plans in respect of services rendered during a period are recognised as an employee benefit expense when they are made.

(iv) Termination benefits

Termination benefits may be payable when an employee's employment is terminated before the normal retirement date due to retrenchment or whenever an employee accepts voluntary redundancy in exchange for these benefits.

The Group recognises termination benefits at the earlier of the following dates:

- when the Group can no longer withdraw the offer of those benefits; and
- when the Group recognises costs for a restructuring that is within the scope of IAS 37 Provisions, Contingent Liabilities and Contingent Assets that includes the payment of termination benefits.

In the case of an offer to encourage voluntary redundancy, termination benefits are measured based on the number of employees expected to accept the offer. Benefits due more than 12 months after the reporting date are discounted to their present value.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

V Financial instruments

Financial instruments comprise trade and other receivables (excluding prepayments), deposits with financial institutions, cash and cash equivalents, restricted cash, borrowings, other non-current liabilities (excluding provisions), bank overdrafts trade and other payables, other financial liabilities and derivative financial instruments.

Other liabilities:

Other liabilities include the liability for the Mobile Money Platform.

Accounting for financial instruments

Financial Instruments are accounted for under IFRS 9 on the recognition, classification and measurement of financial assets and liabilities, derecognition of financial instruments, impairment of financial assets and hedge accounting.

Financial assets and liabilities are recognised on the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

All financial assets and liabilities are initially measured at fair value, including transaction costs except for those classified as at fair value through profit or loss, which are initially measured at fair value, excluding transaction costs. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Financial assets and liabilities are classified as current if they are expected to be realised or settled within 12 months; if not, they are classified as non-current.

Offsetting financial instruments

Offsetting of financial assets and liabilities arises when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The net amount is reported in the statement of financial position.

Financial instrument classification

The Group classifies its financial instruments into the following categories:

- Financial assets at amortised cost,
- Financial liabilities at amortised cost; and
- Financial liabilities at FVPL

The Group classifies its financial assets at amortised cost only if both of the following criteria are met:

- the asset is held within a business model whose objective is to collect the contractual cash flows; and
- the contractual terms give rise to cash flows that are solely payments of principal and interest.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

V Financial instruments (continued)

Other financial liabilities on Mobile Money Payments are initially measured at their fair value, which is the present value of the payments in respect of the minimum commitment. The entity will account for the interest expense and decrease the financial liability over the course of the licensing agreement as and when the liability is settled.

An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract. A portion of the cash flows varies according to changes in foreign currency. The economic characteristics and risks of these cash flows are, however, closely related to the fixed minimum commitments.

Categories of financial assets and liabilities

	Amortised cost Rwf'000	FVPL Rwf'000	Total carrying amounts Rwf'000
2025			
Financial Assets			
Current financial assets			
Trade and other receivables	21,997,186	-	21,997,186
Mobile money deposits	286,621,094	-	286,621,094
Collective savings scheme deposits	7,307,871	-	7,307,871
Restricted cash	879,315	-	879,315
Cash and cash equivalents	58,832,086	-	58,832,086
	375,637,552	-	375,637,552
Financial Liabilities			
Non-current financial liabilities			
Borrowings	37,134,545	-	37,134,545
Non-Current financial liabilities		7,544,097	7,544,097
Lease liabilities	141,454,542	-	141,454,542
	178,589,087	7,544,097	186,133,184
Current financial liabilities			
Trade and other payables	119,664,793	-	119,664,793
Lease liabilities	18,773,062	-	18,773,062
Financial liability	-	3,636,491	3,636,491
Mobile money customer deposits	286,143,324	-	286,143,324
Borrowings	16,249,760	-	16,249,760
Shareholder loan	915,000	-	915,000
	441,745,939	3,636,491	445,382,430

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

V Financial instruments (continued)

Categories of financial assets and liabilities (Continued)

	Amortised cost Rwf'000	FVPL Rwf'000	Total carrying amounts Rwf'000
2024 (as restated)			
Financial Assets			
Current financial assets			
Trade and other receivables	45,706,777	-	45,706,777
Mobile money deposits	201,517,642	-	201,517,642
Collective savings scheme deposits	6,319,489	-	6,319,489
Restricted cash	55,148	-	55,148
Cash and cash equivalents	14,514,695	-	14,514,695
	268,113,751	-	268,113,751
Financial Liabilities			
Non-current financial liabilities			
Borrowings	55,393,665	-	55,393,665
Non-Current financial liabilities	-	9,636,433	9,636,433
Lease liabilities	140,995,036	-	140,995,036
	196,388,701	9,636,433	206,025,134
Current financial liabilities			
Trade and other payables	103,932,529	-	103,932,529
Lease liabilities	12,536,657	-	12,536,657
Financial liability	-	3,122,723	3,122,723
Mobile money customer deposits	202,142,123	-	202,142,123
Borrowings	15,430,274	-	15,430,274
Bank Overdraft	5,863,054	-	5,863,054
Shareholder loan	915,000	-	915,000
	340,819,637	3,122,723	343,942,360

Impairment of financial assets

The Group assesses on a forward-looking basis the expected credit loss associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

The Group's trade and other receivables are subject to the expected credit loss model. While cash and cash equivalents are also subject to the impairment requirements of IFRS 9, the identified impairment loss is immaterial. See note 3 for further details.

W Shareholder loan

Shareholder loans are accounted for as financial liabilities. The loans recognised initially at fair value, net of transaction costs incurred and subsequently carried at amortised cost.

¹ The effects of the restatement are disclosed on Note 37 of these financial statements.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

2 Summary of material accounting policies (continued)

X Mobile Money (MoMo) customer deposits

Mobile money ("MoMo") deposits indicated on the statement of financial position are balances held with banks for and on behalf of MoMo customers. MoMo regulations require that these balances with banks be held in a manner to ensure that they are not co-mingled with the Company's cash and cash equivalents and that they are ring-fenced to settle MoMo customers' obligations. These regulations specify the permissible liquid instruments in which these deposits may be invested.

The Group earns transactional fees on customers' transactions. These fees are part of the revenue and are recognised over time as transactions occur. The Group accounts for fees paid to agents as a commission expense.

Cash flows related to transaction fees earned and operating expenses incurred are classified as operational cash flows. Cash flows that relate to the principal MoMo deposit balances and corresponding liabilities are reflective of customer transactions and, consequently, are not recorded on the Group's statement of cash flows.

MoMo involves the issuing of electronic money in return for cash. It enables an active mobile phone subscriber to load a MoMo wallet, with a balance recorded electronically for immediate or later use.

The Group utilises MoMo agents to facilitate customer activities, such as depositing cash and loading and storing mobile money in wallets. The Group also performs the activities of a MoMo agent through its branches. Any monetary value stored in a MoMo wallet is supported by an equivalent mobile money deposit held with a bank or multiple banks.

The Group provides (under license) the platform to administer the MoMo wallet and the MoMo service generally. The Group opens bank accounts in which the Mobile money deposits are held.

MoMo is a regulated service offering. MoMo regulations govern the manner in which mobile money services are conducted as well as the rights and obligations of all parties to the mobile money service offering.

Y Earnings per share

Basic and diluted earnings per share (EPS) data for ordinary shares are presented in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3 Financial risk management

The Group is exposed to the following risks from its use of financial instruments: credit risk, liquidity risk, and market risk (foreign exchange and interest rate risk). This note presents information about the Group's exposure to each of the above risks, its objectives, policies and processes for measuring and managing risk, and its capital management. Further quantitative disclosures are included throughout these financial statements.

Market risk

(i) Foreign exchange risk

The Group operates locally and is exposed to foreign exchange risk arising from the following amounts denominated in US Dollars. Foreign exchange risk arises from recognised assets and liabilities.

The Group aims to manage exposure to fluctuations in foreign currency exchange rates by keeping a proportion of its cash balance in foreign currency. As a policy, the Group does not use forward contracts or other speculative methods of hedging foreign exchange risk.

Included in the Group statement of financial position are the following amounts denominated in US Dollars.

	2025 Rwf'000	2024 Rwf'000
Assets		
Trade receivables	1,660,549	4,598,830
Cash and cash equivalents	901,354	380,447
	<u>2,561,903</u>	<u>4,979,277</u>
Liabilities		
Trade and other payables	47,242,666	45,383,948
Lease liability	4,806,653	4,446,846
	<u>52,049,319</u>	<u>49,830,794</u>
Net	<u>(49,487,416)</u>	<u>(44,851,517)</u>
Closing translation rate (Rwf)	1,458.1	1,396.7

The Group has used a sensitivity analysis technique that measures the estimated change to profit or loss and equity of an instantaneous 10% strengthening or weakening in the Rwandan Francs against all other currencies, from the rate applicable at 31 December, for each class of financial instrument with all other variables, in particular interest rates, remaining constant. This analysis is for illustrative purposes only, as in practice, market rates rarely change in isolation.

The Group is mainly exposed to fluctuations in foreign exchange rates in respect of the US Dollar. This analysis considers the impact of changes in foreign exchange rates on profit.

A change in the foreign exchange rates to which the Company and its subsidiary are exposed at the reporting date would have increased/(decreased) profit before tax and equity by the amounts shown below;

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3 Financial risk management (continued)

Market risk (Continued)

(i) Foreign exchange risk (Continued)

	Change In exchange rate	Weakening in functional currency	Strengthening in functional currency
	%	Rwf'000	Rwf'000
Impact on profit before tax			
2025	10	(1,722,118)	1,722,118
2024	10	(1,636,245)	1,636,245
Impact on equity			
2025	10	(1,239,925)	1,239,925
2024	10	(1,178,096)	1,178,096

(ii) Interest rate risk

The Group manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings. In the current year, there has been no change to the Group's exposure to market risks or the manner in which these risks are managed and measured as in previous years.

Interest rate risk is the risk borne by an interest-bearing asset or liability due to the variability of interest rates.

In 2024 and 2025, the Group's fixed-rate borrowings and receivables were measured at amortized cost. Therefore, they are not exposed to interest rate risk since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates. However, the financial liability measured at FVPL is exposed to interest rate risk.

A change in the interest rates to which the Company and its subsidiary are exposed at the reporting date would have increased/(decreased) profit before tax and equity by the amounts shown below;

	Change	2025 Increase/(decrease)		Change	2024 Increase/(decrease)	
		Increase in the interest rates	Decrease in the interest rates		Increase in the interest rates	Decrease in the interest rates
		Rwf '000'	Rwf '000'		Rwf '000'	Rwf '000'
	%			%		
Profit before tax	4	(447,224)	447,224	10	(1,275,916)	1,275,916
Equity	4	(322,001)	322,001	10	(918,659)	918,659

(iii) Credit risk

Credit risk is managed on a Group basis. Credit risk arises from cash and cash equivalents, and deposits with banks, as well as trade and other receivables. The Group does not have any significant concentrations of credit risk. The Group credit controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

With the exception of post-paid and dealer trade receivables, no collateral is held for any of the above assets. Some post-paid subscribers are required to pay a security deposit before being connected to the Group's network. Dealer debtors are also required to present post-dated cheques and bank guarantees before being granted credit.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3 Financial risk management (continued)

(iii) Credit risk (Continued)

The amount that best represents the Group's maximum exposure to credit risk at 31 December is made up as follows:

	2025 Rwf'000	2024 Rwf'000
Cash and cash equivalents (note 17(a))	58,832,086	14,514,695
Mobile money deposits (note 17(b))	286,621,094	201,517,642
Collective savings scheme deposits	7,307,871	6,319,489
Restricted cash (note 17 (d))	879,315	55,148
Trade and other receivables - (note 22)	21,997,186	45,706,777
	<u>375,637,552</u>	<u>268,113,751</u>

The expected credit loss on other receivables and balances due from related companies is immaterial.

Trade receivables

The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses, trade receivables have been analysed based on shared credit risk characteristics and the days past due.

The expected loss rates are based on the payment profiles of sales over a period of 36 months before 31 December 2025 respectively and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect forward looking information to the extent that there is a strong correlation between the forward-looking information and the expected credit losses. The Group has identified the GDP of the country in which it sells its goods and services to be the most relevant factor, and accordingly adjusts the historical loss rates based on expected changes in this factor.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3 Financial risk management (Continued)

(iii) Credit risk (Continued)

Trade receivables (Continued)

The default rates as at 31 December 2025 were determined as follows for trade receivables:

Default rate	Current	More than 30 days past due	More than 60 days past due but less than 90	More than 90 days past due	Government debtors over 90 days
31-Dec-25	3.80%	6.80%	10.04%	100.00%	10.06%
31-Dec-24	3.04%	5.80%	11.00%	100.00%	11.01%

The loss allowance as at 31 December 2025 and 2024 was determined as follows for trade receivables:

	2025			2024		
	Gross	Impairment	Net	Gross	Impairment	Net
Trade receivables (Note 22)	16,027,881	(2,378,645)	13,649,236	29,548,112	(1,884,600)	27,663,512
31-Dec-25	Current	More than 30 days past due	More than 60 days past due	More than 90 days past due	Government debtors	Total
Gross carrying amount (Rwf'000)	10,139,561	2,614,132	1,232,661	1,652,723	388,804	16,027,881
Loss allowance (Rwf'000)	385,303	177,761	123,759	1,652,723	39,098	2,378,645
31-Dec-24	Current	More than 30 days past due	More than 60 days past due	More than 90 days past due	Government debtors	Total
Gross carrying amount (Rwf'000)	17,855,047	8,372,805	2,209,379	551,542	559,339	29,548,112
Loss allowance (Rwf'000)	542,793	485,623	243,032	551,542	61,611	1,884,600

3 Financial risk management (continued)

(iii) Credit risk (Continued)

Trade receivables (Continued)

Trade and other receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group and a failure to make contractual payments for a period of greater than 90 days past due.

Impairment losses on trade and other receivables are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item.

Deposits with financial institutions, cash at bank, restricted cash

Deposits with financial institutions, cash at bank and restricted cash are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management considers 'low credit risk' for these financial assets as they have a low risk of default, and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.60%, which is the probability of default assigned to a B+ investment grade by Standard & Poor's rating agency.

The application of expected credit loss on other receivable, deposits with financial institutions, cash at bank, restricted cash and balances from related companies is immaterial.

(iv) Fair value

The Group adopted the amendment to IFRS 7 for financial instruments measured at fair value. This requires disclosure of fair value measurements by level of the following fair value measurement hierarchy:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1).
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (Level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

The Group had financial instruments, financial liability in relation to ECW contract which is held at fair value through profit or loss as at 31 December 2025.

(v) Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash and marketable securities and the availability of funding from an adequate amount of committed credit facilities. Due to the dynamic nature of the underlying businesses, Treasury maintains flexibility in funding by maintaining availability under committed credit lines.

Management monitors rolling forecasts of the Group's liquidity reserve based on expected cash flow.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity groups based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3. Financial risk management (continued)

(v) Liquidity risk (continued)

	Less than 1 year Rwf'000	Between 1 and 2 years Rwf'000	Between 2 and 5 years Rwf'000	More than 5 years Rwf'000	Total
At 31 December 2025:					
Borrowings	18,687,224	14,350,402	41,586,432	-	74,624,058
Shareholder loan	915,000	-	-	-	915,000
Finance Liability	4,181,965	4,809,259	7,544,097	-	16,535,321
Lease liabilities	21,589,021	64,725,783	77,152,439	76,888,676	240,355,919
Trade and other payables	119,664,793	-	-	-	119,664,793
Mobile money customer deposits	286,143,324	-	-	-	286,143,324
	451,181,327	83,885,444	126,282,968	76,888,676	738,238,415
At 31 December 2024 (as restated¹):					
Borrowings	17,744,815	38,646,074	26,763,636	-	56,390,889
Shareholder loan	915,000	-	-	-	915,000
Bank overdraft	5,863,054	-	-	-	5,863,054
Finance Liability	3,591,131	5,332,643	5,925,158	-	14,848,932
Lease liabilities	14,417,156	70,093,529	68,409,716	92,712,531	245,632,932
Trade and other payables	103,932,529	-	-	-	103,932,529
Mobile money customer deposits	202,142,123	-	-	-	202,142,123
	348,605,808	114,072,246	74,334,874	92,712,531	629,725,459

The following liquid resources are available:

	2025 Rwf'000	2024 Rwf'000
Financial assets at amortised cost		
Trade and other receivables (note 22)	21,997,186	45,706,777
Cash and cash equivalents (note 17a)	58,832,086	14,514,695
Mobile money deposits (note 17b)	286,621,094	201,517,642
	367,450,366	261,739,114

Management has access to facilities with banks and arrangements with suppliers to meet the Group's current obligations and continue as a going concern. Also, planned refinancing arrangements, cost optimisation and capex reprioritisation will ensure the business continues to operate in the foreseeable future.

¹ The effects of the restatement are disclosed on Note 37 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

3 Financial risk management (continued)

(vii) Capital risk management

Capital includes borrowings, share capital and equity attributable to the Group's equity holders.

The Group's objective in managing capital is to maintain an efficient capital structure that supports ongoing operations, planned investment and sustainable shareholder returns. The Group manages capital through Board-approved funding plans, maintaining sustainable debt levels, a balanced debt maturity profile, adequate liquidity headroom and compliance with financing covenants, while seeking an appropriate mix of funding sources and interest rate exposure. Dividend distributions are considered only after assessing retained earnings, forecast cash flows, solvency and applicable regulatory requirements. The Group monitors capital using leverage and cash flow measures, including covenant ratios and overall gearing. During the year, the Group remained compliant with its borrowing covenants as disclosed in note 15.

	2025 Rwf'000	2024 Rwf'000 Restated ¹
Lease liability (note 25)	160,227,604	153,531,693
Borrowings (note 15)	53,384,305	70,823,939
Total borrowings	213,611,909	224,355,632
Less: cash and cash equivalents (note 17(a))	(58,832,086)	(14,514,695)
Net debt	154,779,823	209,840,937
Total equity	57,962,547	47,185,192
Total capital	212,742,370	257,026,129
Gearing ratio	72.75%	81.64%

4 Significant accounting judgements, estimates and assumptions

Estimates and judgements are continually evaluated based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances. These include significant assumptions used in determining the fair values of assets and liabilities. It is reasonably possible, based on existing knowledge, that outcomes within the next financial year that are different from the assumption could require a material adjustment to the carrying amount of the asset or liability affected.

(i) Significant accounting estimates and assumptions

Impairment of financial assets

The loss allowances for trade and other receivables are based on assumptions about risk of default and expected loss rates. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of each reporting period. Details of the key assumptions and inputs used are disclosed in note 3(iii) above.

¹The effects of the restatement are disclosed on Note 36 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

4 Significant accounting judgements, estimates and assumptions (Continued)

(i) Significant accounting estimates and assumptions (Continued)

Impairment of financial assets (Continued)

Sensitivity analysis on impairment of trade receivables

	2025		2024	
	(Decrease)/Increase in provisions		(Decrease)/Increase in provisions	
	Upward change in default rate	Downward change in default rate	Upward change in default rate	Downward change in default rate
	Rwf '000'	Rwf '000'	Rwf '000'	Rwf '000'
50% change in default rate	5,123,079	5,123,079	2,770,299	2,770,299
100% change in default rate	10,246,157	10,246,157	3,986,368	3,986,368

Lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The Group applies judgment in assessing whether it is reasonably likely that options will be exercised. Factors considered include how far in the future an option occurs, the Group's business planning cycle of three to five years and past history of terminating/not renewing leases.

The assessment is reviewed if a significant event or change in circumstances occurs that affects this assessment and that is within the lessee's control.

Income taxes

The Group exercises significant judgment in determining its provision for income taxes when dealing with calculations and transactions for which the ultimate tax position is uncertain during the ordinary course of business. The Group recognises tax liabilities for anticipated tax issues based on estimates of whether additional taxes will be payable. Where the final outcome of these matters is different from the amounts that were initially recorded, such differences will impact the current and deferred tax in the period in which such determination is made.

4 Significant accounting estimates and judgements (Continued)

(ii) Significant judgements in applying the Group's accounting policies (Continued)

Accounting for Mobile Money (MoMo) deposits

Limited accounting guidance exists in IFRS relating to mobile money customers' balances held with banks. The Group previously recognised MoMo balances based on its assessment of the risks and rewards relating to the underlying financial asset. The Group's exposure to credit risk on the financial assets held with the various banks was considered a key factor in the overall evaluation, as any credit risk assumed potentially exposed the Group to refund MoMo customers in the event of any bank failure.

As a result, judgment was made to recognise all MoMo liabilities, representing the obligation which exists in the ordinary course to refund the customer for deposits made and the related MoMo balances held with the banks on the statement of financial position. For further details of the Group's MoMo policy, refer to note 2(X).

Property, plant and equipment

Property, plant and equipment represent a significant proportion of the Group's asset base. Therefore, the judgments made in determining their estimated useful lives and residual values are significant to the Group's financial position and performance. Useful lives and residual values are reviewed annually, with the effects of any changes in estimate accounted for on a prospective basis.

The useful lives of property, plant, and equipment are based on management estimates, which take into account historical experience with similar assets, the expected usage of the asset, physical wear and tear, technical or commercial obsolescence, and legal restrictions on the use of the assets.

The estimated useful lives of property, plant and equipment are shown under note 2d above.

Intangible assets with finite useful lives

The Group annually reviews the carrying amounts of its intangible assets with finite useful lives to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amounts of the assets are estimated to determine the extent, if any, of the impairment loss.

Amortisation is calculated on a straight-line basis to write off the cost of intangible assets over their estimated useful lives. The estimated useful lives are as below:

Network licenses	10 years
Software	1 to 5 years

The gain or loss arising on the disposal or retirement of an intangible asset is determined as the difference between the proceeds from the disposal and the carrying amount of the asset and is included in profit or loss.

Costs associated with maintaining intangible assets are recognised as expenses when incurred.

Costs directly associated with the production of identifiable intangible assets controlled by the Group, which will probably generate economic benefits, are capitalised when all the criteria for capitalisation are met.

An expenditure that enhances or extends the performance of intangible assets beyond their original specifications is recognised as a capital improvement and added to the original cost of the assets. Expenditure on research activities is recognised as an expense in the period it is incurred.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

5 Revenue

(a) Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods and services in the following major services and product Lines:

	2025 Rwf'000	2024 Rwf'000
<i>Revenue recognised over time:</i>		
Airtime and subscription	59,812,942	62,422,292
Data	48,376,724	45,169,217
ICT	10,443,225	11,170,754
SMS	5,369,490	6,247,315
Interconnect and roaming	10,519,960	6,304,548
Mobile money commissions	158,127,345	122,639,829
Digital	1,404,436	1,648,458
	<u>294,054,122</u>	<u>255,602,413</u>
<i>Revenue recognised at a point in time:</i>		
Handsets and accessories	2,226,707	3,619,185
Itemised billing	35,844	39,050
Simcard	305,054	304,179
	<u>2,567,605</u>	<u>3,962,414</u>
	<u>296,621,727</u>	<u>259,564,827</u>

(b) Other income

Rental income	1,609,039	2,062,840
	<u>1,609,039</u>	<u>2,062,840</u>

(c) Contract balances arising from contracts with customers

Contract liabilities arising from contracts with customers

	31 December 2025 Rwf'000	31 December 2024 Rwf'000	01 January 2024 Rwf'000
Deferred income	1,419,604	123,275	115,860
Contract liabilities with customers	2,135,294	3,874,725	2,974,509
Total Contract liabilities	<u>3,554,898</u>	<u>3,998,000</u>	<u>3,090,369</u>
Trade receivables	13,649,236	27,663,512	12,822,627
Contract assets	656,763	595,473	811,616

Deferred income relates to advance receipt for land rental and advanced received from the central bank (BNR) to promote cashless economy. The advanced received from BNR will be recognised in other income as performance criteria are met.

Contract liabilities with customers represent unused activated airtime subscriber balances for prepaid products. The decrease is due to usage being higher than sales during the period. Revenue is recognised in profit or loss when customers make calls, perform data sessions, send SMS and other event that requires use of airtime balances on their devices.

The changes in the trade receivables and contract assets can be explained by the revenue from contracts with customers, cash collected from the customers and changes in the ECL.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

5 Revenue (Continued)

(d) Revenue recognised in respect of contract liabilities

The following table shows how much of the revenue recognised in the current reporting period relates to carried-forward contract liabilities;

	2025 Rwf'000	2024 Rwf'000
Revenue recognised that was included in contract liability at start of year	<u>3,874,725</u>	<u>2,974,509</u>

6. Employee benefits expenses

	2025 Rwf'000	2024 Rwf'000
Cafeteria	132,031	145,996
Expats wages	2,877,022	1,141,436
Medical	1,204,595	713,180
Staff collective savings scheme	393,332	458,679
Bonus	3,427,447	3,120,314
Rwanda Social Security Board (RSSB)	1,247,370	665,562
Share based expenses (note 26)	905,368	1,567,710
Sports	7,534	16,092
Staff welfare	2,011,738	2,125,112
Training	172,641	217,684
Wages and salaries	13,835,561	13,410,445
	<u><u>26,214,639</u></u>	<u><u>23,582,210</u></u>

7 Other operating expenses

	2025 Rwf'000	2024 Rwf'000
Professional and Consulting	6,196,542	6,588,815
Director's Fees	192,645	171,512
General Administration expenses incl. Community-based Health insurance (3% of Revenue)	20,509,033	10,761,238
VAT unrecoverable	1,784,951	-
Management fees	12,076,059	11,394,256
MTN Corporate Social Initiatives (CSI)	462,808	577,051
Travel & Entertainment	625,025	658,643
Power Cost - Electricity and Diesel Cost - Non-Network	421,147	439,002
Security Cost - Non-Network Buildings	179,852	182,308
Maintenance Other	135,730	55,233
Lease payments - non-network	-	32,328
Change in fair value of financial liability (Note 32)	850,462	-
	<u><u>43,434,254</u></u>	<u><u>30,860,386</u></u>

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

8 Finance Income/ (costs)

	2025 Rwf'000	2024 Rwf'000
Finance income:		
Interest income from banks	947,334	1,475,095
	<u>947,334</u>	<u>1,475,095</u>
<i>Finance costs:</i>		
Interest expense and other charges on borrowings	9,567,641	10,033,052
Finance costs on leases	21,799,965	24,156,164
Other interest expense	2,779,382	1,366,162
Realised foreign exchange losses	1,330,124	1,810,962
Realised foreign exchange gains	-	(192,356)
Unrealised foreign exchange gains	(140,461)	(528,603)
Unrealised foreign exchange losses ¹	3,992,176	2,129,724
(Gain)/loss on disposal of leases (Note 25)	(714,166)	5,610
	<u>38,614,661</u>	<u>38,780,715</u>

¹Includes the foreign exchange losses on lease liability disclosed on note 25.

9. Income Tax

The tax on the Group's and the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2025 December Rwf'000	2024 December Rwf'000
<i>Income tax expense</i>		
Prior year current tax adjustment	-	5,013,945
Current income tax charge	17,186,072	14,004,428
Deferred income tax credit (note 14)	(9,663,628)	(10,413,771)
Over provision of prior year deferred tax	-	(2,946,993)
Income tax expense appearing the statement of comprehensive income	<u>7,522,444</u>	<u>5,657,609</u>
Profits per accounts	<u>18,299,799</u>	<u>285,767</u>
Statutory tax rate	28.0%	28.0%
Tax at standard rate	5,123,944	80,015
Tax on expenses not deductible for tax purposes	2,398,500	3,510,642
Effect of prior year understatement	-	5,013,945
Over provision of prior year deferred tax	-	(2,946,993)
	<u>7,522,444</u>	<u>5,657,609</u>
<i>Income tax recoverable</i>		
	2025 Rwf'000	2024 Rwf '000
Opening balance	390,239	7,481,857
Tax advance utilized	-	(4,330,130)
Prior years' tax charges paid	-	(2,761,488)
WHT	59,191	-
Closing Balance	<u>449,430</u>	<u>390,239</u>

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

9. Tax Income (continued)

Income tax payable

	2025	2024
	Rwf'000	Rwf'000
Opening balance	5,102,313	3,860,049
Current income tax charge	17,186,072	16,256,885
Penalty and interest	-	152,265
<i>Tax paid:</i>		
Corporate income tax paid	(14,868,433)	(14,693,818)
Voluntary disclosure program payment	(2,053,028)	(405,068)
Withholding tax paid	(1,183,384)	(68,000)
Total taxes paid	(18,104,845)	(15,166,886)
Closing Balance	4,183,540	5,102,313

10.Dividends

	2025		2024	
	Dividend		Dividend	
	Per share	Total	Per share	Total
	Rwf	Rwf'000	Rwf	Rwf'000
Dividends unpaid	-	-	3.39	4,579,888
Dividends Paid	-	-	0.85	1,144,970
Dividends declared	-	-	4.24	5,724,858

Payment of dividends is subject to withholding tax at a rate of either 10% or 12% depending on the residence of the respective shareholders.

11 Share capital

	2025	2024
	Rwf'000	Rwf'000
Authorised:		
1,350,886,600 ordinary shares each with a par value of Rwf 1	1,350,887	1,350,887
Issued and fully paid:		
1,350,886,600 ordinary shares each with a par value of Rwf 1	1,350,887	1,350,887

12 Shareholder loans

	2025	2024
	Rwf'000	Rwf'000
MTN REL	915,000	915,000

The above relates to an interest-free and repayable on demand.

13 Other reserves

	2025	2024
	Rwf'000	Rwf'000
Balance at end of year	15,333,606	9,215,986

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

13 Other reserves (Continued)

The Mobile Money Rwanda Ltd Articles of Association provide for a legal reserve fund where at least 20% of net profit is set aside for the Special Reserve Fund.

14 Deferred income tax

Deferred income tax is calculated using the enacted income tax rate of 28%. The movement on the deferred income tax account is as follows:

2025

	Opening balance Rwf'000	Charge to the P&L Rwf'000	Closing Balance Rwf'000
Property, plant, Equipment, and Intangible asset	30,186,077	4,336,377	34,522,454
Provisions	(3,754,434)	704,278	(3,050,156)
Tax losses	(22,951,978)	(11,542,692)	(34,494,670)
Unrealized foreign exchange loss	(76,579)	(700,830)	(777,409)
ROU/Lease	(9,675,610)	(2,460,761)	(12,136,371)
Deferred tax Asset	(6,272,524)	(9,663,628)	(15,936,152)

2024 (Restated¹)

	Opening balance Rwf'000	Charge to the P&L Rwf'000	Closing Balance Rwf'000
Property, plant, Equipment, and Intangible asset	28,872,920	1,313,157	30,186,077
Provisions	(7,349,828)	3,595,394	(3,754,434)
Tax losses	(6,112,927)	(16,839,051)	(22,951,978)
Unrealized foreign exchange loss	-	(76,579)	(76,579)
ROU/Lease	(8,321,924)	(1,353,686)	(9,675,610)
Deferred tax Asset	7,088,241	(13,360,765)	(6,272,524)

Deferred tax assets and liabilities are recognized for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes in accordance with IAS 12 "Income Taxes."

Deferred tax assets primarily relate to tax losses, provisions, unrealized foreign exchange losses, and right-of-use assets. Deferred tax liabilities primarily relate to property, plant, and equipment and intangible assets.

Deferred tax assets arising from tax losses are recognised to the extent that it is probable that future taxable profits will be available against which these losses can be utilized. In Rwanda, tax losses can be carried forward for five years and Losses are utilized on a first-in, first-out basis.

¹The effects of the restatement are disclosed on Note 37 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

14 Deferred income tax (Continued)

The company incurred tax losses of Rwf 8.1 billion in FY 2022, Rwf 13.7 billion in FY 2023, Rwf 60.0 billion in FY 2024, and Rwf 38.6 billion in FY 2025 which are expected to expire within five years from the respective reporting periods, with FY 2022 losses expiring in FY 2027, FY 2023 losses in FY 2028, and FY 2024 losses in FY 2029 and FY 2025 losses in FY 2030.

The Group considered the following factors in assessing whether it is probable that the Company will have future taxable profits available against which the deferred tax asset can be used:

- It is unlikely that the circumstances that resulted in the Company incurring assessed losses will continue in the medium term.
- The negative margins on permanent roamers was resolved.
- Based on current business plans, the Group expects to utilise the deferred tax asset in the next three to four years.

The net deferred tax asset as at 31 December 2025 is Rwf 15.93 billion (2024: 6.27 billion), reflecting the combined effect of all temporary differences.

Presentation in the Statement of Financial Position: Deferred tax assets and liabilities are presented separately on the face of the statement of financial position. Where there is a legally enforceable right to set off current tax assets against current tax liabilities and deferred tax assets against deferred tax liabilities, they are presented on a net basis.

15 Borrowings

	2025 Rwf'000	2024 Rwf'000
Total borrowings		
i) Syndicated Loan I:	-	5,899,271
ii) Syndicate Loan II:	37,134,545	49,494,394
iii) Revolving Loans	16,249,760	15,430,274
Total borrowings	53,384,305	70,823,939

	2025 Rwf'000	2024 Rwf'000
Total borrowings		
At start of year	70,823,939	76,689,347
New loan facility	62,793,855	18,000,000
Interest expense	9,567,641	10,033,052
Principal repayments	(79,256,875)	(23,469,697)
Interest repayments	(10,544,255)	(10,428,763)
At the end of year	53,384,305	70,823,939

	2025 Rwf'000	2024 Rwf'000
Non-Current borrowings	37,134,545	55,393,665
Current borrowings	16,249,760	15,430,274
Total borrowing	53,384,305	70,823,939

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

15 Borrowings (Borrowings)

i) 2018 syndicated loan

The Group obtained a syndicated loan of Rwf 50 billion split into two tranches:

- Tranche A of Rwf 35 billion was fully repaid as of 31 December 2025 (2024: Rwf 5.9 billion). The loan attracted interest at 15% per annum.
- The Tranche B of Rwf 15 billion was converted into working capital to be drawn on a need basis.

In 2021, tranche B was split into a second syndicated loan of Rwf 9 billion and a revolving loan of Rwf 6 billion.

The loans are secured by a negative pledge over all existing and future assets of the Group.

Details of the participating banks are as follows:

Bank	Currency	Interest rate p.a	2025 Rwf'000	2024 Rwf'000
Bank Populaire du Rwanda Plc	Rwf	15.0%	-	1,518,691
Equity Bank Rwanda Plc	Rwf	15.0%	-	1,431,619
Bank of Kigali Plc	Rwf	15.0%	-	843,717
Ecobank Rwanda Plc	Rwf	15.0%	-	1,096,832
I&M Bank Rwanda Plc	Rwf	15.0%	-	1,008,411
			<u>-</u>	<u>5,899,271</u>

(ii) 2021 Syndicate loan

The Group obtained a second syndicated loan of Rwf 64 billion, on 27 July 2021 to facilitate the payment of the GSM license. The loan is fully drawn down as of 31 December 2025.

Interest on the loan is at a fixed rate of 15% per annum.

After a six-month moratorium, the first principal instalment was paid on 28 January 2022. The final repayment is due on 28 July 2028.

The loan is secured by a negative pledge over all existing and future assets of the Group.

The currency, interest rates and outstanding principal as at 31 December 2025 under each participating bank are as follows:

Bank	Currency	Interest rate p.a	2025 Rwf'000	2024 Rwf'000
Banque Populaire du Rwanda Plc	Rwf	15%	3,000,355	4,255,000
Ecobank Rwanda Plc	Rwf	15%	3,000,355	4,255,000
Equity Bank Plc	Rwf	15%	2,182,076	3,094,546
Bank of Kigali Plc	Rwf	15%	10,404,112	11,586,211
I&M Bank (Rwanda) Plc	Rwf	15%	3,818,633	5,415,454
Equity Bank Rwanda Plc	Rwf	15%	4,909,671	6,962,728
Banque Populaire du Rwanda Plc	Rwf	15%	2,727,595	3,868,182
Guaranty Trust Bank (Rwanda) Plc	Rwf	15%	1,909,317	2,707,728
Access Bank Rwanda Plc	Rwf	15%	2,454,836	3,481,363
NCBA Rwanda Plc	Rwf	15%	2,727,595	3,868,182
			<u>37,134,545</u>	<u>49,494,394</u>

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

15 Borrowings (continued)

i) Short-term borrowing

	2025	2024
	Rwf'000	Rwf'000
At start of year	15,430,274	25,708,541
Interest expense	3,082,401	12,000,000
Principal repayments	(62,446,017)	940,277
Interest repayments	(2,610,754)	(22,413,506)
New Short-term loan	62,793,856	(805,038)
At the end of year	16,249,760	15,430,274

The section below sets out an analysis of net debt and the movements in net debt.

None of the borrowings were defaulted on at any time during the year. The Group complied with the financial covenants of its borrowing facilities during the reporting period.

	Threshold per loan covenants	Status as at 31st December 2025	Conclusion	Status as at 31st December 2024	Conclusion
Net Debt to EBITDA	<2.5x	(0.05)x	Compliant	0.67x	Compliant
Debt Service Coverage Ratio	>1.25x	4.7x	Compliant	2.66x	Compliant
Net Debt/ (Equity and shareholder loans)	<70:30	(10):110	Compliant	57:43	Compliant
Interest Coverage Ratio	>4.5x	11.16x	Compliant	9.26x	Compliant

As per the loan agreement, the financial ratios exclude the impact of IFRS 16, *Leases*.

Capitalised transaction costs relate to costs that are directly attributable to the acquisition of the above borrowing facilities.

The carrying amount of the borrowings approximates their fair values since the interest payable on them is close to current market rates. The effective interest rates for the borrowings were 15.0% in the period.

The section below sets out an analysis of net debt and the movements in net debt.

Net debt

	2025	2024
	Rwf'000	Rwf'000
Cash and cash equivalents	58,832,086	14,514,695
Current borrowings (including overdrafts)	(16,249,760)	(21,293,328)
Shareholders Loan	(915,000)	(915,000)
Non-current borrowings	(37,134,545)	(55,393,665)
At end of year	44,532,781	(63,087,298)

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

16	Indefeasible rights of use assets (IRUs)	2025	2024
(a)		Rwf'000	Rwf'000
	At beginning of the year	9,839,683	11,155,143
	Amortisation	(1,543,848)	(1,315,460)
	At end of the year	8,295,835	9,839,683
	Current	1,393,482	1,543,848
	Non-current	6,902,353	8,295,835
		8,295,835	9,839,683

16(b)	Indefeasible rights of use liability (IRUs)	2025	2024
		Rwf'000	Rwf'000
	At beginning of the year	410,842	446,828
	Additions	-	-
	Release to other income	(35,986)	(35,986)
	At end of the year	374,856	410,842
	Current	(35,986)	(35,986)
	Non-current	(338,870)	(374,856)
		(374,856)	(410,842)

17(a) Cash and cash equivalents

For purposes of the cash flow statement, cash and cash equivalents comprise the following:

	2025	2024
	Rwf'000	Rwf'000
Cash at bank	58,832,086	14,514,695
Bank overdraft	-	(5,863,054)
	58,832,086	8,651,641

17(b) Mobile money deposits

	2025	2024
	Rwf'000	Rwf'000
Mobile money deposits	286,621,094	201,517,642

The balance is fully covered by an equal liability; thus, there is no expected credit loss.

17(c) Collective savings scheme deposits

	2025	2024
	Rwf'000	Rwf'000
Deposits held with BPR Bank Rwanda Plc	1,830,661	1,658,885
Deposits held with I&M Rwanda Plc	4,813,210	4,660,604
Deposit held with Bank of Kigali	664,000	-
	7,307,871	6,319,489

The above represents deposits held by the Group on behalf of employees under the staff collective savings scheme. The funds are not available to finance the Group's day-to-day operations and, therefore, are not part of cash and cash equivalents.

Deposits with financial institutions, cash at bank and restricted cash are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management considers 'low credit risk' for these financial assets as they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.17%, which is the probability of default assigned to a B+ investment grade by Standard & Poor's rating agency.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

17(d) Restricted cash

	2025	2024
	Rwf'000	Rwf'000
Cash collateral	734,000	-
MTN corporate social initiatives (CSI)	63,086	-
Deposit held with Equity bank	82,229	55,148
	879,315	55,148

Cash collateral relates to cash deposits with banks to secure letters of credit

18 Intangible assets

2025

Cost	Network licenses	Software incl SW licenses	Work in progress	2025 Total
	Rwf'000	Rwf'000	Rwf'000	Rwf'000
At beginning of year	92,096,677	28,994,108	139,137	121,229,922
Additions	-	2,240,484	985,517	3,226,001
Reallocation				
At end of year	92,096,677	31,234,592	1,124,654	124,455,923
Accumulated amortisation				
At the beginning of year	32,663,070	7,550,373	-	40,213,443
Amortisation charge	9,143,633	5,960,945	-	15,104,578
At end of year	41,806,703	13,511,318	-	55,318,021
Carrying amount				
At end of year 2025	50,289,974	17,723,275	1,124,653	69,137,902

2024

Cost	Network licenses	Software incl SW licenses	Work in progress	2024 Total
	Rwf'000	Rwf'000	Rwf'000	Rwf'000
At beginning of year	92,096,677	17,357,357	139,130	109,593,164
Additions	-	-	11,636,758	11,636,758
Reallocation	-	11,636,751	(11,636,751)	-
At end of year	92,096,677	28,994,108	139,137	121,229,922
Accumulated amortisation				
At the beginning of year	23,519,437	3,579,522	-	27,098,959
Amortisation charge	9,143,633	3,970,851	-	13,114,484
At end of year	32,663,070	7,550,373	-	40,213,443
Carrying amount				
At end of year 2024	59,433,607	21,443,735	139,137	81,016,479

At the beginning of the year, the software licence included ECW, a 5-year software licensing agreement contract for the Mobile Money Platform license entered in 2023 between MTN and Ericsson. An intangible asset was capitalised at the present value of the minimum future commitments applying the borrowing rate of 15%. The liability is equal to the capitalised intangible asset at initial recognition.

Network licenses

Type of license	Date / renewed	Licence term
GSM	01/07/2021	10 years

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

19 Property, plant and equipment

	Cellular Network Equipment Rwf'000	Capital Work In Progress Rwf'000	Information System Equipment Rwf'000	Furniture and Other Equipment Rwf'000	Freehold Land and Buildings Rwf'000	Total Rwf'000
COST						
At 1 January 2025	241,423,813	4,740,517	70,345,922	4,804,131	5,579,909	326,894,292
Additions	-	30,731,829	-	-	-	30,731,829
Transfers from capital works in progress	32,412,775	(33,518,920)	940,380	221,565	(55,800)	-
Write off	-	-	(395)	-	-	(395)
Balance at 31 December 2025	273,836,588	1,953,426	71,285,907	5,025,696	5,524,109	357,625,726
ACCUMULATED DEPRECIATION						
At 1 January 2025	(151,322,043)	-	(49,599,052)	(2,852,605)	(2,158,866)	(205,932,566)
Depreciation charge for the year	(13,265,324)	-	(6,345,174)	(412,372)	(537,345)	(20,560,215)
Disposal	-	-	395	-	-	395
Balance at 31 December 2025	(164,587,367)	-	(55,943,831)	(3,264,977)	(2,696,211)	(226,492,386)
CARRYING AMOUNT						
At 31 December 2025	109,249,221	1,953,426	15,342,076	1,760,719	2,827,898	131,133,340
At 31 December 2024	90,101,770	4,740,517	20,746,870	1,951,526	3,421,043	120,961,726

Work in progress relates to network expansion projects under way, whose completion is expected to be in Q1 2025. See note 15 for assets pledged as collateral

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

19 Property, plant and equipment (Continued)

	Cellular Network Equipment Rwf'000	Capital Work In Progress Rwf'000	Information System Equipment Rwf'000	Furniture and Other Equipment Rwf'000	Freehold Land and Buildings Rwf'000	Total Rwf'000
COST						
At 1 January 2024	220,472,865	6,980,941	65,288,929	4,016,616	5,286,723	302,046,074
Additions	-	25,293,324	-	-	-	25,293,324
Reallocation from capital works in progress	20,950,948	(27,088,642)	5,056,993	787,515	293,186	-
Write off	-	(445,106)	-	-	-	(445,106)
Balance at 31 December 2024	241,423,813	4,740,517	70,345,922	4,804,131	5,579,909	326,894,292
ACCUMULATED DEPRECIATION						
At 1 January 2024	(137,061,145)	-	(41,038,132)	(2,359,586)	(1,618,111)	(182,076,974)
Depreciation charge for the year	(14,260,898)	-	(8,560,920)	(493,019)	(540,755)	(23,855,592)
Balance at 31 December 2024	(151,322,043)	-	(49,599,052)	(2,852,605)	(2,158,866)	(205,932,566)
CARRYING AMOUNT						
At 31 December 2024	90,101,770	4,740,517	20,746,870	1,951,526	3,421,043	120,961,726
At 31 December 2023	83,411,720	6,980,941	24,250,797	1,657,030	3,668,612	119,969,099

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

20(a) Capitalised contract costs	2025	2024
	Rwf '000	Rwf '000
At 1 January	2,223,876	-
Additions	1,484,574	2,514,225
Amortisation	(2,043,865)	(290,349)
At 31 December	1,664,585	2,223,876
Non-current	1,109,723	1,611,397
Current	554,862	612,479
Total	1,664,585	2,223,876

20(b) Contract assets		
At 1 January	2,094,050	2,321,123
Additions during the year	1,730,782	1,639,433
Transfer to trade and other receivables	(1,687,885)	(1,866,506)
At 31 December	2,136,947	2,094,050
Non-current	1,480,184	1,498,577
Current	656,763	595,473
Total	2,136,947	2,094,050

21 Inventories	Dec-2025	Dec-2024
	Rwf'000	Rwf'000
SIM cards, phones and accessories	1,016,296	2,192,836
Inventory provision	(695,858)	(127,251)
	320,438	2,065,585
Inventories expensed during the year*	3,242,596	8,746,344

*The amount is included in the cost of handsets and other accessories expense line on the statement of profit or loss.

Movements in the inventory provision:

	Balance at beginning of year Rwf'000	Additions Rwf'000	Written off during the year Rwf'000	Balance at the end of the year Rwf'000
2025				
Movement in provision	127,251	695,858	(127,251)	695,858
2024				
Movement in provision	-	127,251	-	127,251

The increase in the inventory provision relates mainly to low-value handset models (Ikosora) acquired toward the end of 2024 that have experienced slow sales in the Rwandan market. Management reassessed their recoverable value and recognised an additional provision to reflect expected selling prices. Targeted discounting initiatives are underway to clear the affected stock.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

22 Trade and other receivables

	Dec-25	Dec-24
	RWF '000	RWF '000
Financial assets		
Trade receivables - Gross	16,027,881	29,548,112
Interconnect receivables - Gross	3,196,794	1,696,552
Mobile money wallet prefund deposits - Gross	8,939,545	4,769,319
EBU contract receivables	2,136,947	2,094,050
Other receivables	1,140,982	10,815,769
Intercompany debtors	801,194	3,810,140
Gross trade and other receivables	32,243,343	52,733,942
Allowance for impairment of trade and other receivables		
Allowance for impairment of mobile money wallet prefund deposits	(7,493,635)	(4,769,319)
Allowance for impairment of interconnect receivables	(373,877)	(373,246)
Allowance for impairment of trade receivables	(2,378,645)	(1,884,600)
Total allowance for impairment of trade and other receivables (Note 22(a))	(10,246,157)	(7,027,165)
Net trade and other receivables	21,997,186	45,706,777
Non-financial assets		
Prepayments	866,413	1,351,602
VAT receivable	2,413,011	2,670,843
	25,276,610	49,729,222

In the opinion of the directors, the carrying amounts of the receivables approximate their fair values due to their short-term nature.

The closing loss allowances for trade receivables and other receivables as at 31 December 2025 reconcile to the opening loss allowances as set out below.

22(a) Allowance for impairment of trade receivables

	2025	2024
	Dec	Dec
	Rwf '000	Rwf '000
Opening balance	7,027,165	7,550,166
Loss allowance recognised in income statement during the year	3,222,394	570,541
Receivables written off during the year as uncollectible	(3,402)	(1,093,542)
Closing Balance	10,246,157	7,027,165

Loss allowance recognised in the income statement during the year increased due to the uncertainty of the recoverability of specific MoMo prefund wallets.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

23 (a) Trade and other payables

Financial liabilities		
Trade payables	58,685,439	40,151,833
Interconnect payables	1,920,260	737,961
Accrued expenses	10,843,066	13,105,595
Intercompany payables	36,035,460	35,714,716
Dividends payable	12,189,568	14,222,424
	119,664,793	103,932,529
Non-financial liabilities		
Statutory payroll taxes	2,355,991	2,565,011
Regulatory fees and taxes - non-contractual	11,519,295	-
Other taxes and deductions - contractual	8,658,162	3,236,355
	22,533,448	5,801,366
Trade and other payables	142,198,241	109,733,895

The carrying amounts of the above trade and other payables approximate their fair values due to their short-term nature. Accrued expenses mainly relate to accruals for goods received but not invoiced, statutory deductions, and other payables.

23 (b) Mobile Money customer deposits

	2025 December Rwf '000	2024 December Rwf '000
Mobile money amount due to customers	286,143,324	202,142,123

24 Provisions

		2025 Rwf'000	2024 Rwf'000	
Bonus provision		2,838,690	1,544,894	
		<u>2,838,690</u>	<u>1,544,894</u>	
	Balance at beginning of year Rwf'000	Additional provisions Rwf'000	Utilised Rwf'000	Balance at the end of the year Rwf'000
2025 Bonus provision	1,544,894	3,427,447	(2,133,651)	2,838,690
	<u>1,544,894</u>	<u>3,427,447</u>	<u>(2,133,651)</u>	<u>2,838,690</u>
2024 Bonus provision	639,441	3,120,314	(2,214,861)	1,544,894
	<u>639,441</u>	<u>3,120,314</u>	<u>(2,214,861)</u>	<u>1,544,894</u>

Bonus provisions represent a performance incentive paid to employees based on their achievement of key performance indicators. The provision for the year is based on an estimate of a percentage of each employee's annual basic salary.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

25 Leases

This note provides information for leases where the Group is a lessee.

(i) *Amounts recognised in the balance sheet*

The statement of financial position shows the following amounts relating to leases:

<i>Right-of-use assets (restated¹)</i>				
2025	Cellular Network Equipment Rwf'000	Motor Vehicles Rwf'000	Offices and service centers Rwf'000	Total Rwf'000
COST				
At 1 January 2025 (restated ¹)	186,764,398	3,893,004	5,182,265	195,839,667
Additions	11,616,656	-	1,766,383	13,383,039
Lease modification	-	203,694	-	203,694
Disposals	(341,589)	(1,182,824)	(89,796)	(1,614,209)
At 31 December 2025	198,039,465	2,913,874	6,858,852	207,812,191
ACCUMULATED DEPRECIATION				
At 1 January 2025 (restated ¹)	(74,476,023)	(1,876,948)	(2,907,641)	(79,260,612)
Disposals	23,417	977,846	349,736	1,350,999
Depreciation charge for the year	(13,251,978)	(1,608,603)	(322,807)	(15,183,388)
At 31 December 2025	(87,704,584)	(2,507,705)	(2,880,712)	(93,093,001)
CARRYING AMOUNT	110,334,881	406,169	3,978,140	114,719,190
At 1 January 2025 (restated ¹)	112,288,375	2,016,056	2,274,624	116,579,055
2024	Cellular Network Equipment Rwf'000	Motor Vehicles Rwf'000	Offices and service centers Rwf'000	Total Rwf'000
COST				
At 1 January 2024 (previously restated)	177,845,745	3,962,781	5,378,828	187,187,354
Restatement	(3,107,118)	-	-	(3,107,118)
At January 2024 (restated ¹)	174,738,627	3,962,781	5,378,828	184,080,236
Additions	26,528,505	476,744	896,219	27,901,468
Lease modification	(11,899,608)	-	-	(11,899,608)
Disposals	(2,603,126)	(546,521)	(1,092,782)	(4,242,429)
At 31 December 2024	186,764,398	3,893,004	5,182,265	195,839,667
ACCUMULATED DEPRECIATION				
At 1 January 2024 (previously restated)	(63,448,945)	(1,350,630)	(2,919,593)	(67,719,168)
Restatement	896,905	-	-	896,905
At January 2024 (restated ¹)	(62,552,040)	(1,350,630)	(2,919,593)	(66,822,263)
Disposals	2,466,464	506,475	1,092,784	4,065,723
Depreciation charge for the year	(14,390,447)	(1,032,793)	(1,080,832)	(16,504,072)
At 31 December 2024	(74,476,023)	(1,876,948)	(2,907,641)	(79,260,612)
CARRYING AMOUNT	112,288,375	2,016,056	2,274,624	116,579,055
At 31 December 2023 (restated ¹)	112,186,587	2,612,151	2,459,235	117,257,973

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

25 Leases (Continued)

<i>Lease liabilities</i>	2025 Rwf'000	2024 Rwf'000 Restated ¹
Opening balance (as previously reported)	153,531,693	148,513,521
Restatement	-	(2,467,626)
Opening balance (restated¹)	153,531,693	146,045,895
Disposal	(977,376)	(171,096)
Lease modification	203,694	(11,899,608)
Additions	13,383,039	27,901,468
Interest and foreign exchange losses on lease liability	22,210,182	24,156,164
Interest paid on lease	(14,536,269)	(10,852,284)
Payment of principal portion of lease liability	(13,587,359)	(21,648,846)
Closing balance	160,227,604	153,531,693
Non-current	141,454,542	140,995,036
Current	18,773,062	12,536,657
	160,227,604	153,531,693

The maturity analysis of lease liabilities is disclosed in Note 3(v).

Amount recognised in the profit or loss:

	2025 Rwf'000	2024 Rwf'000
Interest and foreign exchange losses on lease liability (Note 8)	22,210,182	24,226,438
Depreciation of right-of-use assets	15,183,388	16,504,072
Short-term leases and low-value assets	-	35,928
	37,393,570	40,766,438

¹The effects of the restatement are disclosed on Note 37 of these financial statements

26 Notional share option scheme

The Group, a subsidiary of MTN Group, participates in the MTN Group Notional Share Option (NSO) incentive scheme, under which eligible employees are granted notional options that are settled in cash via payroll on vesting/exercise. The scheme comprises two components:

- Group Aligned Notional Share Options (GAN NSOs): linked to MTN Group Limited's JSE share price. The offer price is based on the closing share price on the day before allocation, converted to local currency using the foreign exchange rate on the day prior to allocation.
- Locally Aligned Notional Share Options (LAN NSOs): linked to local operational performance and enterprise value; the LAN NSO price is reviewed annually and determined using an EBITDA multiple valuation approach

On 31 December 2025, the total liability arising from the Notional Share Option scheme amounted to Rwf 1,278 million (2024: Rwf 638 million) for the qualifying staff.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

26 Notional share option scheme (Continued)

Year ended	At start of year	Additional provisions	Utilised	At end of year
31 December 2025				
	Rwf'000	Rwf'000	Rwf'000	Rwf'000
Notional share options (Note 23(a))	638,084	905,368	(264,465)	1,278,987
Year ended	At the start of year	Additional provisions	Utilised	At the end of year
31 December 2024				
	Rwf'000	Rwf'000	Rwf'000	Rwf'000
Notional share options (Note 23(a))	39,988	1,567,710	(969,614)	638,084

Notional share option scheme

	2025			2024		
No of shares	LAN	GAN	Total	LAN	GAN	Total
At 1 January	115,537	321,756	437,293	113,390	203,693	317,083
Granted	-	-	-	43,385	125,829	169,214
Exercised	(41,370)	-	-	(38,560)	-	(38,560)
Forfeited	-	-	-	(2,678)	(7,766)	(10,444)
Expired	-	-	-	-	-	-
At 31 December	74,167	321,756	395,923	115,537	321,756	437,293
Weighted average price per share (Rwf)	34,801	7,436	16,539	26,899	5,619	12,592
Exercisable at 31 December (Rwf'000)	-	485,498	485,498	-	581,677	581,677

Measurement of the liability

The valuation of Notion Option Scheme as at 31 December 2025 used the following key assumptions:

Assumption	2025	2024
	Rwf000	Rwf 000
Notional share price (Rwf)	16,304	12,676
Exercise price (Rwf)	18,992	28,500
Expected volatility	24%	24%
Expected life of options	3 years	3 years

27 Capital commitments

Commitments for the acquisition of property, plant and equipment:

Capital expenditure for property, plant and equipment authorised not yet incurred at the reporting date is as follows:

	2025	2024
	Rwf'000	Rwf'000
Contracted	7,057,688	247,102
Not contracted	16,462,292	49,583,898
Total commitments for property, plant and equipment	23,520,280	49,830,334

28 Contingent liabilities

The Group is a defendant of a number of legal suits. In the opinion of the directors, other than separately disclosed, after taking appropriate legal advice, the outcome of the actions will not give rise to any significant cash out flow to the Group.

Additionally, Mobile Money Rwanda Limited (“the Company”) operates as a licensed e-money issuer regulated by the National Bank of Rwanda. In accordance with Article 23 of the applicable e-money regulations, the Company is required to maintain liquid assets in designated trust accounts sufficient to back the value of e-money issued to customers and to perform daily reconciliations between the e-money float and trust account balances. In the ordinary course of business, the Company may experience temporary differences between wallet balances (e-money float) and the balances held in trust accounts. These differences arise from the operational characteristics of the digital payments ecosystem in which the Company operates, including 24-hour transaction processing, settlement cut-off times of partner banks, integration with multiple financial institutions, and the timing of interbank clearing and settlement processes. As a result, transactions initiated on the Company’s platform may be recorded immediately in customer wallets while the corresponding settlement through the banking system may occur subsequently within the normal clearing cycle. The Company performs daily reconciliations of e-money float and trust account balances and monitors any reconciliation differences through established internal controls. Such differences are reported to the regulator in accordance with regulatory reporting requirements and are typically resolved through the normal settlement and reconciliation processes.

Management has exercised significant judgement in assessing whether such differences represent a present obligation requiring recognition of a provision under IAS 37 – Provisions, Contingent Liabilities and Contingent Assets. In forming this judgement, management considered the historical pattern of clearing of reconciliation items, the underlying nature of the differences as timing-related settlement items, and the absence of evidence indicating loss or misappropriation of underlying customer funds. Based on this assessment, management concluded that these differences represent temporary operational timing differences inherent in the settlement process rather than a deficiency of liquid assets backing the e-money float. Accordingly, management determined that the recognition criteria for a provision under IAS 37 are not met and no provision has been recognised in the financial statements. Management continues to monitor reconciliation positions closely and maintains ongoing engagement with the regulator regarding the operational realities of large-scale digital payment systems and the practical application of the regulatory requirements.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

29 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

		2025 December	2024 December Restated ¹
Profit before tax		18,299,799	285,767
Adjusted for:			
Finance income	8	(947,334)	(1,475,095)
Finance costs	8	38,576,629	38,780,715
Depreciation of property, plant and equipment and ROUA	19 & 25	35,743,603	40,359,664
Amortisation of intangible assets	18	15,104,578	13,114,484
Amortisation of contract costs	20(a)	2,043,865	290,349
Amortisation of IRU assets	16(a)	1,543,848	1,315,460
Other income*	16(b)	(35,986)	(35,986)
Loss on fair value remeasurement of financial liability	32	850,462	-
(Profit)/loss on disposal of property, plant and (gain)/loss on termination of leases		(714,166)	450,714
Bonus provision	23	1,293,796	905,453
Inventory provision	21	695,858	127,251
VAT unrecoverable		1,784,951	-
Movement in the impairment of trade receivables	22(a)	3,222,394	570,541
Net Cash Generated by Operations		117,462,297	94,689,317
Changes in working capital		44,523,932	(2,520,471)
W/C Movement - Gross inventory		1,049,289	(1,961,756)
W/C Movement - Trade and other payables		24,779,161	6,209,862
W/C Movement - Contract assets		(42,897)	227,073
W/C Movement - Deferred income		(443,102)	907,631
W/C Movement - Intercompany creditors		320,744	11,308,074
W/C Movement - Net trade and receivables		18,840,737	(19,211,355)
W/C Movement - Trade and other receivables		15,831,791	(21,827,486)
W/C Movement - Intercompany debtors		3,008,946	2,616,131
Cash generated from operations		161,986,229	92,168,846

¹The effects of the restatement and reclassifications are disclosed on Note 36 and Note 37 respectively, of these financial statements.

* - Relates to IRU liability

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

30 Related party transactions

The Company's parent is MTN International (Mauritius) Limited, incorporated in Mauritius. The ultimate parent and ultimate controlling party of the Company is MTN Company Ltd, incorporated in South Africa. The following transactions were carried out with related parties, with whom the Company has common shareholdings or common directorships:

i) Sale of services

	Relationship with the Group	2025 Rwf'000	2024 Rwf'000
MTN Uganda Limited - Interconnect services	Fellow Subsidiary	97,975	-
MTN Business Kenya- Leased lines	Fellow Subsidiary	28,385	-
Bayobab Africa - Interconnect and roaming	Fellow Subsidiary	4,151,893	5,136,030
Bayobab Africa - Leased lines	Fellow Subsidiary	675,702	579,989
		4,953,955	5,716,019

ii) Purchases of services

MTN Uganda Limited - Interconnect services	Fellow Subsidiary	110,047	18,961
MTN International (Mauritius) Ltd	Parent	4,661,939	4,880,241
MTN Group Fintech	Fellow Subsidiary	6,404,417	5,854,090
MTN Business Kenya Limited- Leased lines	Fellow Subsidiary	119,293	121,531
Bayobab Africa - Interconnect and roaming	Fellow Subsidiary	3,935,285	10,263,451
Bayobab Africa - leased lines	Fellow Subsidiary	6,132,928	6,231,828
Global Trading Company	Fellow Subsidiary	1,310,578	1,089,235
		22,674,487	28,459,337

iii) Management fees paid

The management fees are calculated as follows:

	MTN International I (Mauritius) Limited 2025	MTN Group Fintech 2025	Total 2025	MTN International (Mauritius) Limited 2024 Rwf'000	MTN Group Fintech 2024 Rwf'000	Total 2024 Rwf'000
4% of revenue	6,756,510	5,118,817	11,875,327	6,625,204	4,670,895	11,296,099
2% on Profit before income tax	(2,094,571)	1,285,600	(808,971)	(1,744,963)	1,183,195	(561,768)
Total	4,661,939	6,404,417	11,066,356	4,880,241	5,854,090	10,734,331

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

30 Related party transactions (continued)

MTN International (Mauritius) Limited and MTN Group Fintech received 4% of revenue and 2% of profit before income tax inclusive of tax as management fees.

		2025	2024
		Rwf'000	Rwf'000
iv) Interest expense			
MTN Dubai Limited	Fellow Subsidiary	129,801	156,973
Global Trading Company	Fellow Subsidiary	135,987	81,561
Interserve Overseas Limited	Fellow Subsidiary	144,883	108,704
		410,671	347,238

v) Dividends declared

MTN International (Mauritius) Limited	Parent	-	3,148,670
MTN REL- Mauritius	Parent	-	1,431,215
Shareholders listed in the Rwanda		-	1,144,973
Stock Exchange	Parent	-	1,144,973
		-	5,724,858

vi) Outstanding balances arising from sale and purchase of goods/services

a) Receivables from related parties

The outstanding receivables balances from related parties is made up interconnect charges, roaming charges, and cross charging expenses the group incurred on behalf of its related party. These are interest free receivables.

		2025	2024
		Rwf'000	Rwf'000
MTN Holdings Ltd	Parent	-	1,180
MTN Company Management Services (Pty) Ltd	Fellow Subsidiary	171,308	901,431
MTN (Pty) Ltd	Fellow Subsidiary	74,875	71,439
MTN Uganda Ltd	Fellow Subsidiary	98,412	-
MTN Eswatini	Fellow Subsidiary	4,238	4,044
MTN Dubai Ltd	Fellow Subsidiary	44,718	-
MTN Group Fintech	Fellow Subsidiary	205,437	107,768
MTN Cote d'Ivoire SA	Fellow Subsidiary	24,652	4,982
Congo-Brazzaville	Fellow Subsidiary	6,074	12,854
MTN Guinea	Fellow Subsidiary	-	25,655
M.T.N. South Sudan Co Ltd	Fellow Subsidiary	141,011	134,539
Bayobab Africa - leased lines	Fellow Subsidiary	-	484,322
MTN International (Mauritius) Limited	Parent	30,469	2,061,926
		801,194	3,810,140

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

30 Related party transactions (continued)

vi) Outstanding balances arising from sale and purchase of goods/services (Continued)

b) Payables to related parties

		2025	2024
		Rwf'000	Rwf'000
MTN Company Management Services (Pty) Ltd	Parent	843,294	794,673
MTN Holdings Ltd	Parent	571,248	743,625
MTN (Pty) Ltd	Fellow Subsidiary	265	221
MTN Uganda Ltd	Fellow Subsidiary	135,903	34,758
Congo-Brazzaville	Fellow Subsidiary	-	6,225
Scancom PLC	Fellow Subsidiary	42,877	-
MTN Dubai Ltd	Fellow Subsidiary	2,152,394	1,834,923
Interserve Overseas Ltd	Fellow Subsidiary	2,187,803	1,945,655
MTN International (Mauritius) Ltd	Parent	11,848,349	10,655,749
Global Trading Company	Fellow Subsidiary	2,086,311	1,860,356
Bayobab Africa Limited	Fellow Subsidiary	15,269,157	16,894,907
MTN Group Fintech	Fellow Subsidiary	897,859	900,042
Bayobab Kenya	Fellow Subsidiary	-	43,582
		36,035,460	35,714,716
Dividends payable to related party			
MTNREL - Mauritius	Parent	5,842,095	5,842,095
MTN International (Mauritius) Ltd	Parent	6,347,473	8,380,328
		12,189,568	14,222,423

The outstanding payables balances from related parties is made up interconnect charges, Roaming charges, and cross charging expenses the related party incurred on behalf of the Group. This are interest free payables.

vii) Shareholder loan

The shareholder loan amounts to Rwf 915 million and is due to MTN REL. The loan is interest-free and repayable on demand.

viii) Key management compensation

	2025	2024
	Rwf'000	Rwf'000
Short term employee benefits	444,006	1,066,629
Post-employment benefits	70,775	70,775
Share based provisions	841,732	638,083
	1,356,513	1,775,487

ix) Directors' emoluments

	2025	2024
	Rwf'000	Rwf'000
Directors' fees		
Mr. Faustin Mbundu	30,927	20,316
Peace Uwase	29,668	14,566
Julien Kavaruganda	31,813	19,038
Mark Nkurunziza**	-	138,549
Monzer Ali**	423,419	-
Mapula Bodibe**	285,857	714,930
	801,684	907,399

**Directors that are employees of MTN Company Limited are not separately remunerated.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

30 Related party transactions (continued)

x) MTN Rwanda cell Plc Staff Collective savings scheme

	2025	2024
	Rwf'000	Rwf'000
Employer contributions	<u>393,331</u>	<u>394,336</u>

The Group set up a defined contributory savings scheme for its employees. The scheme is a defined contributions designed to provide a lump sum upon retirement, not a guaranteed pension. The lump sum is dependent upon the fund's investment performance. Both employees and the Group contribute to the savings scheme on a fixed contribution basis.

Under this plan, the Group has no legal or constructive obligation to pay further contributions if the fund does not have sufficient assets to pay all employees' benefits relating to the employee service in the current or prior period. Consequently, no actuarial valuation of the fund is required.

31 Going concern

The Group's forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate within its current funding levels.

After making enquiries, the directors reasonably expect that the Group has adequate resources to continue in operational existence for the foreseeable future. Therefore, the Group continues to prepare its financial statements on a going concern basis.

32 Other non-current financial liabilities

The financial liability relates to the present value of future payments to Ericson AB for annual EWP licenses over the next five years.

	2025	2024
	Rwf'000	Rwf'000
Non-current portion	7,544,097	9,636,433
Current portion	<u>3,636,491</u>	<u>3,122,723</u>
	<u>11,180,588</u>	<u>12,759,156</u>

Movement during the year	2025	2024
	Rwf'000	Rwf'000
At 1 January	12,759,156	15,569,397
Interest recognised in profit or loss	1,658,963	1,977,910
Repayments	(4,087,993)	(4,788,150)
Loss from fair value remeasurement	<u>850,462</u>	<u>-</u>
At 31 December	<u>11,180,588</u>	<u>12,759,156</u>

The fair value of the financial liability is determined using the discounted cash flow (DCF) valuation technique. The DCF method is applied using the Group's incremental borrowing rate as the discount rate. It falls in Level 3 of the fair value hierarchy. The significant unobservable inputs in the fair value measurement are the long-term growth rate for the Group's service revenue, the annual movement in the foreign exchange rate and the incremental borrowing (discount) rate. A 1% increase in the discount rate results into a Rwf 185 million decrease in the fair value of the financial liability. A 1% increase in the foreign exchange rate and the service revenue increase Rwf 125 million and Rwf 125 million in the fair value of the financial liability, respectively.

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

33 Earnings/(loss) per share

	31 December 2025	31 December 2024 Restated ¹
Profit for the year attributable to equity shareholders Rwf'000	10,777,355	(5,371,842)
Weighted average number of shares for calculation diluted and basic earnings per share	1,350,886,600	1,350,886,600
Earnings per share:		
Basic and diluted earnings per share - Rwf	8.0	(4.0)

34 Segment reporting

a) Segment revenue and EBITDA

The executive committee primarily uses earnings before interest, taxes, depreciation and amortisation (EBITDA) to assess the performance of the segments. Earnings before interest, taxes, depreciation and amortisation (EBITDA) reconciles to operating profit before income tax as follows:

Unallocated balances relate to intercompany transactions between the GSM and Fintech entity which are eliminated at the consolidated level.

For the year ended 31 December 2025:

	Fintech	Telecommunication	Elimination	Total
	Rwf '000'	Rwf '000'	Rwf '000'	'Rwf '000'
31-Dec-25				
Revenue	153,355,347	167,341,737	(24,075,357)	296,621,727
Other income	-	1,609,039	-	1,609,039
	153,355,347	168,950,776	(24,075,357)	298,230,766
Direct cost	(65,210,580)	(73,075,859)	19,742,267	(118,544,172)
Operating expenses	(27,185,744)	(50,018,633)	4,333,090	(72,871,287)
Depreciation and amortisation	(4,316,239)	(46,531,942)	-	(50,848,181)
Operating profit	56,642,784	(675,658)	-	55,967,126
Finance income	901,962	23,182,757	(23,137,385)	947,334
Finance costs	(805,678)	(37,808,983)	-	(38,614,661)
Profit before income tax	56,739,068	(15,301,884)	(23,137,385)	18,299,799
Income tax expense	(17,194,038)	9,671,594	-	(7,522,444)
Profit for the year	39,545,030	(5,630,290)	(23,137,385)	10,777,355
31-Dec-24¹				
	Rwf '000'	Rwf '000'	Rwf '000'	'Rwf '000'
Revenue	119,138,263	163,567,260	(23,140,696)	259,564,827
Other income	-	2,062,840	-	2,062,840
	119,138,263	165,630,100	(23,140,696)	261,627,667
Direct cost	(49,245,535)	(76,525,538)	10,222,081	(115,548,992)
Operating expenses	(21,843,683)	(46,088,072)	12,918,615	(55,013,140)
Depreciation and amortization	(3,743,920)	(49,730,228)	-	(53,474,148)
Operating profit	44,305,125	(6,713,738)	-	37,591,387
Finance income	1,457,203	22,488,426	(22,470,534)	1,475,095
Finance costs	(2,351,620)	(36,429,095)	-	(38,780,715)
Profit before income tax	43,410,708	(20,654,407)	(22,470,534)	285,767
Income tax expense	(12,822,609)	7,165,000	-	(5,657,609)
Profit for the year	30,588,099	(13,489,407)	(22,470,534)	(5,371,842)

¹ The effects of the restatement are disclosed on Note 36 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

34 Segment reporting (Continued)

a) Segment assets

Segment assets are measured in the same way as in the financial statements. These assets are allocated based on the operations of the segment;

As at 31 December 2025:

31-Dec-25	Fintech Rwf '000'	Telecommunication Rwf '000'	Elimination Rwf '000'	Total 'Rwf '000'
Non-current assets				
Indefeasible rights of use assets (IRUs)	-	6,902,353	-	6,902,353
Intangible assets	9,004,945	60,132,957	-	69,137,902
Property, plant and equipment	783,392	130,349,948	-	131,133,340
Capitalised contract costs	-	1,109,723	-	1,109,723
Non-Current prepayments	-	252,798	-	252,798
Contract assets	-	1,480,184	-	1,480,184
Right of use assets	2,010,674	112,708,516	-	114,719,190
Investment in subsidiary	-	300,000	(300,000)	-
Deferred tax assets	1,039,047	14,897,105	-	15,936,152
	12,838,058	328,133,584	(300,000)	340,671,642
Current assets				
Current income tax	-	449,430	-	449,430
Indefeasible rights of use assets (IRUs)	-	1,393,482	-	1,393,482
Capitalised contract costs	-	554,862	-	554,862
Contract assets	-	656,763	-	656,763
Restricted cash	734,000	145,315	-	879,315
Collective savings scheme deposits	-	7,307,871	-	7,307,871
Mobile Money deposits	286,621,094	-	-	286,621,094
Cash and cash equivalents	51,786,074	7,046,012	-	58,832,086
Inventories	-	320,438	-	320,438
Trade and other receivables	20,624,285	17,699,167	(13,046,842)	25,276,610
	359,765,453	35,573,340	(13,046,842)	382,291,951
Other disclosures: Additions to non-current assets				
Intangible assets	1,082,359	2,143,642	-	3,226,001
Property, plant and equipment	350,233	30,381,596	-	30,731,829

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

34 Segment reporting (continued)

b) Segment assets (Continued)

As at 31 December 2024¹

	Fintech Rwf '000'	Telecommunication Rwf '000'	Elimination Rwf '000'	Total 'Rwf '000'
Non-current assets				
Indefeasible rights of use assets (IRUs)	-	8,295,835	-	8,295,835
Intangible assets	11,652,830	69,363,649	-	81,016,479
Property, plant and equipment	567,173	120,394,553	-	120,961,726
Capitalised contract costs	-	1,611,397	-	1,611,397
Contract assets	-	1,498,577	-	1,498,577
Non-Current prepayments	-	430,688	-	430,688
Right of use assets	1,329,919	115,249,136	-	116,579,055
Investment in subsidiary	-	300,000	(300,000)	-
Deferred tax assets	1,047,013	5,225,511	-	6,272,524
	14,596,935	322,369,346	(300,000)	336,666,281
Current assets				
Current income tax	-	390,239	-	390,239
Indefeasible rights of use assets (IRUs)	-	1,543,848	-	1,543,848
Capitalised contract costs	-	612,479	-	612,479
Contract assets	-	595,473	-	595,473
Restricted cash	-	55,148	-	55,148
Collective savings scheme deposits	-	6,319,489	-	6,319,489
Mobile Money deposits	201,517,642	-	-	201,517,642
Cash and cash equivalents	8,491,799	6,022,896	-	14,514,695
Inventories	-	2,065,585	-	2,065,585
Trade and other receivables	33,624,642	34,017,085	(17,912,505)	49,729,222
	243,634,083	51,622,242	(17,912,505)	277,343,820
<i>Other disclosures:</i>				
<i>Additions to non-current assets</i>				
Intangible assets	1,142,421	10,494,337	-	11,636,758
Property, plant and equipment	110,549	25,182,775	-	25,293,324

¹ The effects of the restatement are disclosed on Note 36 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

34 Segment reporting (continued)

c) Segment liabilities

Segment liabilities are measured in the same way as in the financial statements. These liabilities are allocated based on the operations of the segment;

As at 31 December 2025	Fintech Rwf '000'	Telecommunication Rwf '000'	Elimination Rwf '000'	Total 'Rwf '000'
Non-current liabilities				
Non-current financial liability	7,544,097	-	-	7,544,097
Borrowings	-	37,134,545	-	37,134,545
IRU Liability	-	338,870	-	338,870
Lease liabilities	2,242,310	139,212,232	-	141,454,542
	9,786,407	176,685,647	-	186,472,054
Current liabilities				
Contract Liability	-	2,135,294	-	2,135,294
Deferred revenue	1,205,557	214,047	-	1,419,604
Borrowings	-	16,249,760	-	16,249,760
IRU Liability	-	35,986	-	35,986
Trade and other payables	25,465,630	-	116,732,611	142,198,241
Mobile money customer deposits	286,143,324	-	-	286,143,324
Provisions	382,994	2,455,696	-	2,838,690
Lease liabilities	-	18,773,062	-	18,773,062
Financial liability	3,636,491	-	-	3,636,491
Current income tax liability	4,183,540	-	-	4,183,540
Other short-term borrowings	-	10,669,041	(10,669,041)	-
Shareholder loan	-	915,000	-	915,000
	316,833,996	51,447,886	106,063,570	474,345,452
As at 31 December 2024¹	Fintech Rwf '000'	Telecommunication Rwf '000'	Elimination Rwf '000'	Total 'Rwf '000'
Non-current liabilities				
Other non-current liabilities	9,636,433	-	-	9,636,433
Borrowings	-	55,393,665	-	55,393,665
IRU Liability	-	374,856	-	374,856
Lease liabilities	1,443,708	139,551,328	-	140,995,036
	11,080,141	195,319,849	-	206,399,990
Current liabilities				
Contract Liability	-	3,874,725	-	3,874,725
Deferred revenue	-	123,275	-	123,275
Borrowings	-	15,430,274	-	15,430,274
IRU Liability	-	35,986	-	35,986
Trade and other payables	18,312,125	103,303,095	(11,881,325)	109,733,895
Mobile money customer deposits	202,086,975	55,148	-	202,142,123
Provisions	497,577	1,047,317	-	1,544,894
Lease liabilities	-	12,536,657	-	12,536,657
Financial liability	3,122,723	-	-	3,122,723
Taxation liabilities	5,102,313	-	-	5,102,313
Other short-term borrowings	-	10,669,041	(10,669,041)	-
Bank Overdraft	-	5,863,054	-	5,863,054
Shareholder loan	-	915,000	-	915,000
	321,017,536	51,447,886	106,063,570	478,528,992

¹ The effects of the restatement are disclosed on Note 36 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

34 Segment reporting (continued)

b) Segment liabilities

35 Investment in subsidiary

The Company's principal subsidiary at 31 December 2025 is set out below. Unless otherwise stated, they have share capital consisting solely of ordinary shares that are held directly by the Company, and the proportion of ownership interests held equals the voting rights held by the Company. The country of incorporation or registration is also their principal place of business.

Name of entity	Ownership				Principal activities
	Place of business/interest held country of incorporation	by the Company	Share capital Rwf'000	Intercompany loan Rwf'000	
Mobile Money Rwanda Limited	Rwanda	100%	300,000		Fintech -services

36 Effect of prior year restatement

The Company accounts for leases in accordance with IFRS 16, Leases.

During 2025, the Company identified that the non-lease component of certain network infrastructure leases was incorrectly included in the measurement of lease liabilities and right-of-use assets.

Accordingly, the Company has restated retrospectively the comparative information for the year ended 31 December 2024 and the opening balances as at 1 January 2024.

Below is the cumulative effect of the errors that were corrected:

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

36 Effect of prior year restatement (Continued)

Consolidated Statement of Financial Position (extract)

	31 December 2023		1 January 2024	31 December 2024		31 December 2024
	As previously reported Rwf '000	Adjustment Rwf '000	Restated ¹ Rwf '000	As previously reported Rwf '000	Adjustment Rwf '000	Restated Rwf '000
Non-current assets						
Right-of-use asset	119,468,186	(2,210,213)	117,257,973	123,088,778	(6,509,723)	116,579,055
Deferred tax asset	-	-	-	6,407,353	(134,829)	6,272,524
Total assets	565,511,024	(2,210,213)	564,300,811	621,640,903	(6,644,552)	614,996,351
Retained earnings	53,546,054	185,337	53,731,391	36,271,616	346,703	36,618,319
Total equity	58,096,555	185,337	58,281,892	46,838,489	346,703	47,185,192
Non-current liabilities						
Lease liabilities	125,774,863	(1,347,968)	124,426,895	146,053,051	(5,058,015)	140,995,036
Deferred tax	7,016,165	72,076	7,088,241	-	-	-
Current liabilities						
Lease liabilities	22,738,658	(1,119,658)	21,619,000	11,202,233	(1,933,240)	9,268,993
Total liabilities	508,414,469	(2,395,550)	506,018,919	574,802,414	(6,991,255)	567,811,159
Total retained earnings and liabilities	566,511,024	(2,210,213)	564,300,811	621,640,903	(6,644,552)	614,996,351

¹The effects of the reclassification are disclosed in note 37 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

36. Effect of prior year restatement (Continued)

Consolidated Statement of Comprehensive Income (extract)

	Year ended 31 December 2024		
	As previously reported Rwf '000	Adjustment Rwf '000	Restated Rwf '000
Direct network operating costs	(39,097,716)	(1,808,246)	(40,905,965)
Depreciation of right-of-use assets	(17,824,411)	1,320,339	(16,504,072)
Operating profit	38,079,297	(487,907)	37,591,387
Finance costs	(39,492,743)	712,028	(38,780,715)
Profit before tax	61,648	224,121	285,769
Taxation	(5,594,856)	(62,753)	(5,657,609)
Profit after tax	(5,533,208)	161,368	(5,371,842)
Attributable to:			
Owners of the company	(5,533,208)	161,368	(5,371,842)
 Basic earnings per share - Rwf	 (4.1)	 0.1	 (4.0)
Diluted earnings per share - Rwf	(4.1)	0.1	(4.0)

Consolidated Statement of Cash Flows (extract)

	Year ended 31 December 2024		
	As previously reported Rwf '000	Adjustment Rwf '000	Restated Rwf '000
Net cash generated from operating activities	54,478,552	(1,096,218)	53,382,334
Cash generated from operations	91,619,414	(1,808,246)	89,811,168
Interest paid on leases	(13,020,307)	712,028	(12,308,279)
Net cash flows used in financing	(31,171,400)	1,096,218	(30,075,182)
Payment of principal portion of lease liabilities ¹	(24,556,733)	1,096,218	(23,460,515)

37 Reclassification of comparative information

During the year ended 31 December 2025, the Group reclassified amounts and re-presented comparative figures for the year ended 31 December 2024 in compliance with IAS 1 (paragraph 41-44), regarding reclassification of comparative amounts. The Group previously aggregated certain of its balances on the consolidated statement of financial position and statement of cash flows. However, management considers it more relevant and appropriate to present these amounts separately to ensure consistency with the current year presentation and to enhance the clarity and transparency of financial information provided to users of the financial statements.

These reclassifications relate solely to the presentation of specific line items within the consolidated statement of financial position and statement of cash flows and do not affect the Group's total assets, total liabilities, total equity, profit for the year, or cash flows.

¹The effects of the reclassification are disclosed in note 37 of these financial statements

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

37 Reclassification of comparative information (Continued)

(a) Consolidated statement of financial position

The reclassifications comprised of the following:

- i. Prepaid short term contracts were reclassified from IRU assets to prepayments within trade and other receivables.
- ii. The current portion of capitalised contract costs was previously presented as part of trade and other receivables and has now been presented separately within current assets.
- iii. A bank account that was previously utilised in relation to Mobile Money was reclassified to restricted cash.
- iv. Amounts owing from customers for airtime acquired on credit were previously included in contract liabilities and have been reclassified to trade and other receivables.
- v. Amounts received in advance related to operations and maintenance components of IRU contracts were reclassified to trade and other payables and the current portion of IRU liabilities was presented separately in current liabilities
- vi. Balances relating to overdue and unpaid lease liabilities were previously included in trade and other payables, these have been reclassified to the current lease liability.

The impact of the reclassification on the statement of financial position as at 31 December 2024 is summarised below:

	As previously reported/restated ¹	Reclassification	Restated
	Rwf '000	Rwf '000	Rwf '000
Current assets			
Indefeasible rights of use assets (IRUs)	2,530,601	(986,753)	1,543,848
Capitalised contract costs	-	612,479	612,479
Trade and other receivables	52,435,248	(2,706,026)	49,729,222
Mobile money deposits	201,572,790	(55,148)	201,517,642
Restricted cash		55,148	55,148
Total assets	614,996,351	(986,250)	614,010,101
Non-current liabilities			
IRU liability	422,835	(47,979)	374,856
Current liabilities			
Trade and other payables	112,989,566	(3,255,671)	109,733,895
Contract liabilities	4,860,975	(986,250)	3,874,725
Lease liabilities	9,268,993	3,267,664	12,536,657
IRU liability	-	35,986	35,986
Total liabilities	567,811,159	(986,250)	566,824,909

The impact of the reclassification on the statement of financial position as at 1 January 2024 is summarised below:

	As previously reported/restated ¹	Reclassification	Restated
	Rwf '000	Rwf '000	Rwf '000
Non-current liabilities			
IRU liability	456,836	(45,994)	410,842
Total non-current liabilities	193,481,461	(45,994)	193,435,467
Current liabilities			
Trade and other payables	88,516,485	(5,779,469)	82,737,016
Lease liabilities	21,619,000	5,789,477	27,408,477
IRU liability	-	35,986	35,986
Total current liabilities	312,537,458	45,994	312,583,452
Total liabilities	506,018,919	-	506,018,919

MTN Rwandacell Plc
Notes to the Consolidated financial statements (Continued)
For the year ended 31 December 2025

37 Reclassification of comparative information (Continued)

(b) Consolidated statement of cash flows

Various movements within working capital were reclassified into the respective cash flow items as follows:

- i) Adjustments relating to amortisation of capitalised contract costs, amortization of IRU assets and other income relating to amortization of IRU liabilities
- ii) Interest paid on leases
- iii) Increase in capitalized contract costs
- iv) repayment of financial liabilities
- v) Payment of principal portion of lease liabilities
- vi) Exchange loss on cash and cash equivalents

The above reclassifications related to more accurately reflecting the nature of the cash flows.

¹ The effects of the restatement are disclosed on Note 36 of these financial statements

	As previously Restated ¹ Rwf '000	Reclassification Rwf '000	Restated Rwf '000
Adjusted for:			
Amortisation of contract Costs	-	290,349	290,349
Amortisation of IRUs Assets	-	1,315,460	1,315,460
Other income	-	(35,986)	(35,986)
Net Cash Generated by Operations¹	93,119,495	1,569,823	94,689,317
Changes in working capital	(3,308,325)	797,854	(2,520,471)
Increase in IRU assets	1,408,050	(1,408,050)	-
W/C Movement - Contract assets		227,072	227,073
W/C Movement - Trade and other payables	9,847,537	(3,637,675)	6,209,862
(Decrease) /increase in non-current prepayments	(1,426,242)	1,426,242	-
(Decrease) /increase in Financial Liabilities	(4,788,151)	4,788,151	-
Increase/(decrease) Restricted cash	(4,199,983)	4,199,983	-
W/C Movement - Remaining trade receivables	(18,005,866)	(3,821,620)	(21,827,486)
Cash Generated from Operations	89,811,170	2,357,676	92,168,846
Cash flows from operating activities			
Interest paid on leases ¹	(12,308,279)	1,455,995	(10,852,284)
Net cash generated from operating activities¹	53,382,336	3,813,672	57,196,008
Addition contract acquisition cost	-	(980,130)	(980,130)
Net cash used in investing activities	(34,952,577)	(980,130)	(35,932,707)
Cashflows flow from Financing activities			
Payment of principal portion of lease liability ¹	(23,460,515)	1,811,669	(21,648,846)
Financial liability repayments		(4,788,150)	(4,788,150)
Net cash used in financing activities¹	(30,075,184)	(2,976,481)	(33,051,663)
Exchange gains on cash and cash equivalents	-	(142,935)	(142,935)

¹The effects of the restatement are disclosed on Note 36 of these financial statements.

38 Events after the reporting period

There were no adjusting or non-adjusting subsequent events that would have an impact on the financial statements as at 31 December 2025.